

Introduction to Accountability Framework

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9.1 The EU Landscape of Digital Services

It is hard to think about digital services in the abstract. This chapter, therefore, outlines the European Union’s (EU) Digital Services Act (DSA) regime and how it will likely apply to specific services in the coming years. The goal is not to be exhaustive, and it is possible that the services mentioned might have changed by the time you read this book. My hope is that having some specific names behind abstract concepts will give you a more concrete view of the ecosystem.

9.1.1 VLOSEs, VLOPs, and other platforms

On 25 April 2023, the European Commission published the first list of designated very large online platforms (VLOPs) and very large online search engines (VLOSEs).¹ The designations are based on the first round of disclosures from 17 February 2023. The first designation round covered 19 separate services, comprising two search engines, two app stores, four marketplaces, eight social media, one encyclopaedia, one price comparison site, and one online map service. Many of the providers will have their European base in Ireland. This matters particularly in the event of violations of the DSA’s standard due diligence obligations, where the European Commission shares competence with the national Digital Services Coordinators (DSCs). In December 2023, the Commission designated three further VLOPs. All three are content-sharing services

¹ European Commission, ‘DSA: Very Large Online Platforms and Search Engines’ (*Shaping Europe’s Digital Future*, 25 April 2023) <<https://digital-strategy.ec.europa.eu/en/policies/dsa-vlops>> accessed 10 August 2023.

hosting pornography. Finally, in April and May 2024, the European Commission designated another two marketplaces as a VLOP. Table 9.1 provides an overview of existing 22 VLOPs and 2 VLOSEs at the time of writing.

Table 9.1 Designations as VLOPs and VLOSEs.

	Company	Digital Service	Type	DSC-COO	Users (mil): 1st disclosure (Feb 2023) ^a	Users (mil): 2nd disclosure (Aug 2023) ^b
Search	Alphabet	Google Search	VLOSE	Ireland	332+	364
	Microsoft	Bing	VLOSE	Ireland	107	119
Social media	Alphabet	YouTube	VLOP	Ireland	401+	416+
	Meta	Facebook	VLOP	Ireland	255	258
	Meta	Instagram	VLOP	Ireland	250	257
	Bytedance	TikTok	VLOP	Ireland	125	134
	Microsoft	LinkedIn	VLOP	Ireland	122+	132+
	Snap	Snapchat	VLOP	Netherlands	96+	102
	Pinterest	Pinterest	VLOP	Ireland	n/a	124
	X (formerly Twitter)	X	VLOP	Ireland	100+	112+
App stores	Alphabet	Google App Store	VLOP	Ireland	274+	284+
	Apple	Apple App Store	VLOP	Ireland	n/a	123
Online Marketplaces	Amazon	Amazon Marketplace	VLOP	Luxembourg	n/a	181+
	Alibaba	AliExpress	VLOP	Netherlands	n/a	135+
	Booking.com	Booking.com	VLOP	Netherlands	n/a	n/a
	Infinite Styles Services	Shein	VLOP	Ireland	n/a	108
	Whaleco Technology	Temu	VLOP	Ireland	n/a	75
	Zalando ^c	Zalando	VLOP	Germany	30+	27+
Wiki	Wikimedia	Wikipedia	VLOP	none	151+	151+
Price comparison	Alphabet	Google Shopping	VLOP	Ireland	74+	70+
Maps	Alphabet	Google Maps	VLOP	Ireland	278+	275
Porn sites	Aylo Freesites	PornHub	VLOP	Cyprus	n/a	n/a
	Technius	Stripchat	VLOP	Cyprus	n/a	n/a
	Webgroup	Xvideos	VLOP	Czechia	n/a	160

^a For an archive of the first wave of disclosures made in February 2023, see <<https://husovec.eu/wp-content/uploads/2023/09/DSA-MAU-First-Disclosure-Feb2023.pdf>>.

^b For an archive of the second wave of disclosures made in August 2023, see <<https://husovec.eu/wp-content/uploads/2023/09/DSA-MAU-Second-Disclosure-Aug2023.pdf>>. For the December 2023 round of designations, see <<https://digital-strategy.ec.europa.eu/en/policies/list-designated-vlops-and-vloses>>.

^c Zalando has sought to invalidate its VLOP status; section 9.2.1.

Table 9.2 Runners-up online platform services.

Online platforms	Digital Service	Users (mil): 1st disclosure (Feb 2023)	Users (mil): 2nd disclosure (Aug 2023)
Social media	BeReal	18	18
	Reddit	10+	11+
Messaging services	Telegram	38+	n/a
	Viber	30+	n/a
	Discord	n/a	n/a
Marketplace	Airbnb	30+	38+
	Apple Books	n/a	< 1
	Vinted	n/a	27+
	Allegro	23+	23+
	Cdiscount	19+	17
	Leboncoin	26+	27+
	Roblox	25+	27+
	eBay	n/a	n/a
Comparison & review sites	Tripadvisor	n/a	n/a
	Trustpilot	23+	n/a
	Gutefrage	30+	28+
	Heureka	23	23
	Skyscanner	34+	41+
Content-sharing services	OnlyFans	n/a	n/a
	Spotify Podcasts	n/a	n/a
	DailyMotion	n/a	n/a
	GitHub	10+	11+
Maps	Waze	40+	40+

9.1.2 Runners-up and other platforms

In addition to the above companies, the major services listed in Table 9.2 likely constitute mid-size or bigger online platforms, and thus, some of them are likely runners-up to become VLOPs in the coming years.

Among these services, the European Commission is rumoured to explore whether Spotify and eBay truly do not meet the threshold as declared.² It is not entirely unlikely that some of them end up designated as new VLOPs in late 2023. On the whole, the exact number of online platforms that are active in the EU for the purposes of the DSA is currently not known and may be difficult to determine, especially since they

² Clothilde Goujard, 'European Retailer Protests against Big Tech Platform Label' *POLITICO* (13 June 2023) <<https://www.politico.eu/article/zalando-big-tech-label-protest-european-retailer/>> accessed 1 September 2023.

need to meet the company size threshold to be relevant. Some DSCs, such as Germany, have recently carried out empirical mapping to determine the number of European and non-EU-based providers that might fall under the regime.³ The study found a total of 4,501 potential regulated providers relevant for Germany alone, of which almost a third are online platforms. Existing registers for video-sharing platforms, one of the most common types of platforms, list less than 100 such services for the entire EU.⁴

9.1.3 Online platforms vs mere hosting services

Not all services that store other people's information are online platforms. They must also publicly distribute other people's information and store it at their request. Providers that do *not* distribute information publicly remain regulated as hosting services only—something that I prefer to call 'mere hosting services'. Unlike other hosting services (Chapter 7), online platforms' main functionality is also the public distribution of stored information. If public distribution of information is 'a minor and purely ancillary feature of another service' or 'a minor functionality of the principal service' it is not the main functionality (Article 3(i)). The ancillary or minor nature arguably refers to technical *and* economic aspects of integration. Recital 13 mentions newspaper comment sections as a typical example that should be distinguished from social media platforms. However, even newspapers could become more valued for their user comment sections than editorial content. Finally, if the company providing an online platform is only small or micro, such services remain regulated as mere hosting services until they grow in the size due to the carve-out in Article 19.

Public distribution can be described as *creation of new audiences* for user-generated content. Mere hosting services, in contrast to online platforms, do not themselves 'distribute' information to the public. If the information goes out to the public, it is distributed by their users (Article 3(i) DSA), such as owners of the websites hosted on web servers. This is emphasised by Recital 13:

cloud computing services and web-hosting services, when serving as infrastructure, such as the underlying infrastructural storage and computing services of an internet-based application, website or online platform, *should not in themselves be considered as disseminating to the public information* stored or processed at the request of a recipient of the application, website or online platform which they host.⁵

The typical examples of such services are *consumer cloud solutions*, such as Dropbox, Google Drive, and Apple's iCloud, or *business cloud solutions*, such as AWS, Stripe, and

³ See Bundesnetzagentur, Umsetzung des Digital Services Act in Deutschland Bestandsaufnahme der relevanten Akteure, available at <https://www.bundesnetzagentur.de/DE/Fachthemen/Digitalisierung/DSA/studie_dsa_akteure.pdf?__blob=publicationFile&v=3>.

⁴ 'Search Results for "Video Sharing Platforms"' (European Audiovisual Observatory, 30 June 2023) <<http://mavise.obs.coe.int/f/ondemand/advanced?typeofservice=4>> accessed 1 September 2023.

⁵ Emphasis mine.

Shopify; classical *web hosting services* like GoDaddy, Ghandi, and Websupport, or even *webmail*, such as Gmail or Hotmail.⁶

Two main considerations keep such providers from tighter regulatory scrutiny. They are less public-facing, which means they create fewer direct risks. In enforcement, mere hosting services often play only a supplementary role after their clients—individual online shops or websites—fail to play their part. All ‘mere hosting’ services run by companies that employ more than 50 employees or have a turnover of more than €10 million must also issue annual reports about their content moderation practices and algorithmic moderation tools (Article 15 DSA).

The borders between ‘online platforms’ and non-platform ‘mere hosting services’ are fluid and complex. Recital 13 DSA mentions that even consumer cloud solutions could become online platforms if the distribution of information becomes more than a minor feature. An open-source content management system, such as WordPress, is arguably only a mere hosting service if the hosted content is distributed independently by websites using its technology (eg independent websites using WordPress’s system, including its hosting). However, if a WordPress-like system also starts *creating an audience* for the websites it helps to host, such as by offering aggregating features, it can easily become an online platform. Moreover, a news website hosting and distributing blogs of other bloggers can be an online platform for blogs, and its bloggers hosting providers (possibly even platforms) vis-à-vis user comments. Thus, some providers can look like a matryoshka that contains other providers within.

For some commerce, advertising, and content management systems, a further problem arises from their relative proximity to the public, particularly where one must register to use a service. For instance, on a content management system, all kinds of plug-ins are offered to registered users via a marketplace. Recital 14 DSA explains its notion of public as follows:

the making available of information to a *potentially unlimited number of persons*, meaning making the information easily accessible to recipients of the service in general without further action by the recipient of the service providing the information being required, irrespective of whether those persons actually access the information in question. Accordingly, *where access to information requires registration or admittance to a group of recipients of the service, that information should be considered to be disseminated to the public only where recipients of the service seeking to access the information are automatically registered or admitted without a human decision or selection of whom to grant access.*⁷

Thus, the mere existence of a registration process does not make such services *private*. Only a manual registration process overseen on an ad hoc basis by humans who select whom to admit can turn the service, or its parts, private. This is key for messaging

⁶ Rec 14 of the DSA says that email falls outside the scope of the definition of an online platform because the criterion of the public is not met, as ‘they are used for interpersonal communication between a finite number of persons determined by the sender of the communication.’

⁷ Emphasis mine.

services hosting various groups and channels that either require the permission of administrators to enter or can be joined by anyone automatically, depending on the settings. It is also why the distribution of plug-ins to registered users by content management systems or marketplaces organised by advertisers can constitute online platforms.

9.1.4 Infrastructure services

Infrastructure services provide the hidden services that allow the internet to function. The mere conduit provisions, after clarification in the DSA’s language, arguably cover most of them. The caching provision covers content delivery networks whose importance for the security of the internet is increasing. All these services are subject to only light touch *universal* due diligence obligations, such as points of contact and terms and conditions. The biggest impact is on the non-EU-based services, which will have to appoint a legal representative (Article 13 DSA) if they offer their services in the EU in exchange for becoming regulated in only one of the Member States.

Only when providers employ more than 50 people or have over €10 million turnover do they publish annual transparency reports about how they conduct content moderation (Article 15 DSA). This means, for instance, that big emailing or storageless messaging services, content delivery networks, domain name services, VPN services, and internet access providers should have started issuing reports about their practices as of February 2024. This also includes transparency about tools used for such content moderation, such as how they operate website blocking measures, deregister domain names, block customers, or filter spam and malicious messages.

Table 9.3 provides examples of infrastructure services under the DSA.

Table 9.3 Infrastructure services.

Internet ‘access’ providers	Domain name services	Storageless messaging	Other potential services	CDNs ^a
Telecommunication companies (O2, Vodafone, Orange)	Domain registries (.de by DENIC, .nl by SIDN, .sk by SK-NIC, etc)	Signal	Certification authorities	CloudFlare
Providers of open WiFi (cafes, hotels)	Domain name registrars (GoDaddy, Gandi)	WhatsApp	Transit services (Level(3), NTT)	Akamai
VPN providers	Recursive DNS (Google, Open DNS)	Email services (as regards emailing, not storage)	Browsers (Mozilla, Chrome)	CacheFly
Tor node operators	Authoritative DNS (Dyn, CloudFlare)		Voice over IP services	Azure Front Door

^a See ‘Global Map of CDNS and Cloud Services’ (26 July 2023) <https://opentelecomdata.org/cdns/?trk=feed_main-feed-card_feed-article-content> accessed 28 August 2023.

9.1.5 Non-regulated services

The DSA only applies if a digital service incorporates a user-generated content (UGC) component into the service, and extends to its other parts that are inseparable from the perspective of the user experience. This might be missing from purely editorial services, like Netflix, Disney +, and Amazon Prime. However, when these services introduce user reviews viewed by others, they might start falling into the DSA's scope. For instance, Google Maps is an online platform despite the fact that mapping service is largely editorial. In the user experience, user-generated parts (eg shop reviews, profiles of shops, etc.) are defining for navigation as much as the editorial maps. Another example is Spotify whose playlists or podcasts could pull also more editorial parts of the service, such as curated music libraries, into the category of online platforms. At the same time, the DSA does not apply to some important services, such as some ride-hailing apps, due to their EU classification as transport services.⁸ Some uncertainty remains about digital services, which have purely non-profit character due to the criterion of the economic activity (Chapter 6.2.6). However, in most cases, such services should arguably remain regulated if their assets can be commercialised due to their potential economic value.

9.2 Determining Regulatory Layers

The DSA has several tiers of obligations. Midsized companies that operate online platforms have more obligations in content moderation than small and micro companies. Digital services with the biggest foothold in Europe—45 million monthly active users—are subject to the most extensive risk management regime. The DSA's design takes into account three important criteria:

- a) technical functionality embedded in a digital service;
- b) size of a company offering a digital service; and
- c) average monthly users of a digital service in the EU.

Very few due diligence obligations apply to *infrastructure services* (mere conduit and caching), such as internet access providers. Some of the DSA's content moderation obligations apply to all digital services that simply store other people's information as an economic activity (*mere hosting*). However, transparency and other more resource-intensive content moderation provisions (eg dispute resolution) apply only to those mid-sized companies that store and distribute it to the public as a main functionality (*online platforms*). These same companies are also subject to specific obligations concerning their recommender systems, advertising, and user interfaces. If they serve

⁸ Case C-320/16 *Uber France* ECLI:EU:C:2018:221.

users who are children, they owe a specific due diligence obligation to children. Finally, online platforms with 45 million average monthly users in the EU must comply with all the previous rules and their special obligations as *very large online platforms*. The most far-reaching among them is a general risk management obligation.

9.2.1 Determining ‘Big Tech’ by counting users

According to Article 24(2) DSA, all online platforms and search engines must publish their numbers concerning average monthly active users at least in two annual windows. The goal is to keep who is or might soon become ‘Big Tech’ visible (ie VLOPs/VLOSEs). Providers can publish their numbers on their websites, but their competent DSC and the European Commission can also approach them at any time to request specific information about user numbers (Article 24(3)). The Commission may issue a delegated act concerning methodology for counting *active monthly recipients of services* (Article 33(3)). At the time of writing, this has not yet happened. The Commission has only published an FAQ, which does not address the methodology.⁹

Article 3 DSA defines the concept of active recipient as follows (emphasis mine):

(p) ‘active recipient of an online platform’ means a recipient of the service that *has engaged* with an online platform by either requesting the online platform to host information or being *exposed to* information hosted by the online platform and disseminated through its online interface;

Thus, the crucial term is ‘engagement’, which can be a ‘request to host information’, such as by sellers or content creators, or an ‘expos[ure]’ to such information. An active user is either a content creator or a consumer of content. As noted by Recital 77, ‘engagement is not limited to interacting with information by clicking on, commenting, linking, sharing, purchasing or carrying out transactions on an online platform’ and is most certainly not limited to registered users. For public social media, active recipients include both content creators who actively post or share content and those who only read it, even though they do not have a registered account. That said, for social media services that allow only registered users to share and see the content, this suggests only registered users count.

A specific complication is whether the readership of content from the service embedded in other services, such as online news articles, also increases the user count. Article 3(p) speaks of ‘being exposed to information ... disseminated through its online interface’. Arguably, embedded content that relies on its own interface created for this purpose by the provider should also count these additional readers. However, if the

⁹ EU Commission, ‘DSA: Guidance on the Requirement to Publish User Numbers’ (*Shaping Europe’s digital future*, 1 February 2023) <<https://digital-strategy.ec.europa.eu/en/library/dsa-guidance-requirement-publish-user-numbers>> accessed 28 August 2023.

embedding technique does not use the providers' own interface, such users arguably do not need to be counted.

Recital 77 states that the count should 'reflect all the recipients *actually engaging* with the service at least once in a given period, by being exposed to information disseminated on the online interface of the online platform, such as viewing it or listening to it, or by providing information, such as traders on an online platform allowing consumers to conclude distance contracts with traders'.¹⁰ The concept depends on 'market and technical developments' (Recital 77). Providers are, however, allowed to deduce 'incidental users' who visit the websites.

All five pending designation cases, concern methodology. For instance, Zalando is contesting its designation, arguing that its hybrid marketplace does not reach the threshold because the traffic for goods sold by Zalando and third-party goods can be separated.¹¹ Given what I said above, this is unlikely to succeed. The buyers of both products are exposed to them on the same interface; thus, there is no clear separation. A consumer who buys goods sold by Zalando is likely exposed to goods from third-party sellers during the search stage, even though she did not buy them. Zalando thus seems to be an easier case.¹² If a provider is separating its online retail business from its marketplace platform by actually using different interfaces (eg separate apps), it can be argued that the numbers concerning online retail should not be counted.

Article 3 DSA defines the concept differently for search engines:

(q) 'active recipient of an online search engine' means a recipient of the service that has submitted a query to an online search engine and been exposed to information indexed and presented on its online interface;

For search engines, only the searching side is crucial. Thus, website owners, who benefit from the search results and can be considered recipients of the service in that broader sense, are irrelevant for defining active recipients (Recital 77). Otherwise, any search engine aspiring to be comprehensive would be immediately classified as a VLOSE due to the large number of resources it can index. The presumption is that they do not 'actively engage' with the search engine, although this might not be true for all website owners, particularly those who use dedicated interfaces to communicate with the search engine about their websites. However, in those cases, they can become VLOPs because the content is submitted to them (eg Google Shopping). Going forward, a question might arise as to whether search engines that also fulfil the definition for online platforms should follow the counting rules established for VLOSEs or VLOPs.¹³ In

¹⁰ Emphasis mine.

¹¹ Molly Killeen, 'Zalando Files Suit against Commission over Very Large Platform Designation' (*Euractiv*, 27 June 2023) <<https://www.euractiv.com/section/platforms/news/zalando-files-suit-against-commission-over-very-large-platform-designation/>> accessed 4 September 2023.

¹² Disclosure: The author is representing a consumer organisation, EISI, intervening on the side of the Commission in this case.

¹³ See the discussion in ch 7.

my view, in such a case, VLOSE counting constitutes *lex specialis* and should prevail for the reasons stated above.

When counting the users, *bots and scrapers* can be excluded in the first step.¹⁴ Nothing prohibits companies from overclaiming and thus from counting even users they do not have to. Recital 77 clarifies that multi-device use by the same person should not count as multiple users. The companies can further exclude ‘incidental’ users (Recital 77) who land on services through linking or search tools. Such users do not ‘actually engage’ with the services. Thus, the concept tries to approximate the real number of unique human beings using the service. This can be tricky to calculate. Using proxies (eg the average number of devices per person) to calculate the final number of unique users is unavoidable. Whatever the final number, it is inevitably only a better or worse approximation of the real user base. That being said, Article 24(2) demands a number. The provision affords discretion to companies to establish their estimates of the user base relying on the methods that are compatible with the goals of the DSA. Thus, while adopting different thresholds for incidental use might be acceptable, relying on irrelevant criteria, such as attributable revenue, should not.

Furthermore, the counting must be on a per-service level (Recital 77). This can be difficult for hybrid services that incorporate several aspects, of which only some constitute platforms, such as marketplaces that sell their own goods, video-sharing services that promote their own content, or messaging services whose chats are not always public. The features that drive user engagement also do not necessarily have to be user-generated. For instance, online maps with user-generated content, such as Google Maps, expose to usually inextricably to both editorial and user-generated content when offering its navigation services. In these cases, the question is when can we separate *non-platform activities* for the purposes of counting of users.

To some extent, an imprecise but justifiable methodology should be an acceptable methodology. Privacy considerations demand that companies not engage in additional tracking just to calculate a number for the DSA. Therefore, it should be possible to use proxies when calculating the average monthly users. For instance, DuckDuckGo used survey data to estimate a device-per-person estimate,¹⁵ and Wikipedia used some of the existing device-per-person estimates to approximate the number of unique users.¹⁶ Google, on the other hand, published its data separately for signed in and non-signed in users.¹⁷

Judging by the first disclosures, some companies have apparently inferred that because Article 24(2) requires the publication of ‘information on the average monthly

¹⁴ According to Rec 77, the DSA does not require providers of online platforms or online search engines to perform specific tracking of individuals online. Where such providers can discount automated users such as bots or scrapers without further processing of personal data and tracking, they may do so.

¹⁵ DuckDuckGo, ‘Regulatory Reporting’ (*DuckDuckGo Help Pages*) <<https://help.duckduckgo.com/duckduckgo-help-pages/r-legal/regulatory-reporting/>> accessed 28 August 2023.

¹⁶ Wikimedia, ‘EU DSA Userbase Statistics’ (*Wikimedia Foundation Governance Wiki*) <https://foundation.wikimedia.org/wiki/Legal:EU_DSA_Userbase_Statistics> accessed 27 August 2023.

¹⁷ Google, ‘Information about Monthly Active Recipients under the Digital Services Act (EU) (1 Jul 2022–31 Dec 2022)’ (2023) <https://storage.googleapis.com/transparencyreport/report-downloads/pdf-report-24_2022-7-1_2022-12-31_en_v1.pdf> accessed 27 August 2023.

active recipients of the service in the Union', companies do not need to publish any numbers or methodology. As demonstrated in the tables above, some companies did not publish their numbers, but merely a descriptive statement and most did not publish their methodologies. These companies usually argue that Article 24(2) does not use the word 'number', and thus a simple disclosure of whether a company is above or below the threshold will suffice. Upon a closer look, it is clear that this is not very convincing.

The DSA uses the phrase in many places to indicate simply that something must be published. For instance, Article 31(1) states that providers are obliged 'to provide information on the name, address, telephone number and email address of the economic operator'. The argument above conveniently gives the phrase 'information on' a very broad meaning to allow companies to comply in ways they find convenient, particularly to avoid potentially publishing information useful for competitors. The question is whether such discretion is really granted by Article 24(2). In my view, it undermines the effectiveness of the DSA because disclosures cannot be examined by the public on their plausibility. The DSA, by asking for public disclosures instead of in private, wanted to relieve companies of the extra work of notification but also to enable public scrutiny.

The failure to disclose a number is particularly perplexing for those providers who end up being VLOPs or VLOSEs. They have the following obligations according to Article 42(3): 'shall include in the reports referred to in paragraph 1 of this Article the information on the average monthly recipients of the service for each Member State'. Now, while one might argue that a precise number is not necessarily the only intended meaning of the term 'information on' in Article 24(2), it is fairly impossible to argue that a document that must report such 'information on ... for each Member State' need not contain an actual number. If the Court or the Delegated Act ever interprets the notion, 'information on' is likely to mean a specific number, possibly accompanied by methodology.

9.2.2 Digital services vs relevant technical activity

The DSA does not rely on the term digital service. In fact, the entire regulation is entirely agnostic to the actual service that incorporates the regulated technical activity. What triggers the DSA's application is the integration of technical activity into a broader digital service. If the regulated technical activity—storage and public distribution of other people's information—can be separated from their other activities, particularly the public distribution of their information, these two distinct activities do not have to be regulated together. However, if these activities are not severable, they can be regulated as non-UGC design features of the same overall service.¹⁸ Figure 9.1 illustrates this in the context of an online marketplace.

¹⁸ For similar problem, see Case C-347/14 *New Media Online GmbH v Bundeskommunikationssenat* ECLI:EU:C:2015:709 (on dissociability of principal and complementary activity for AVMS Directive).

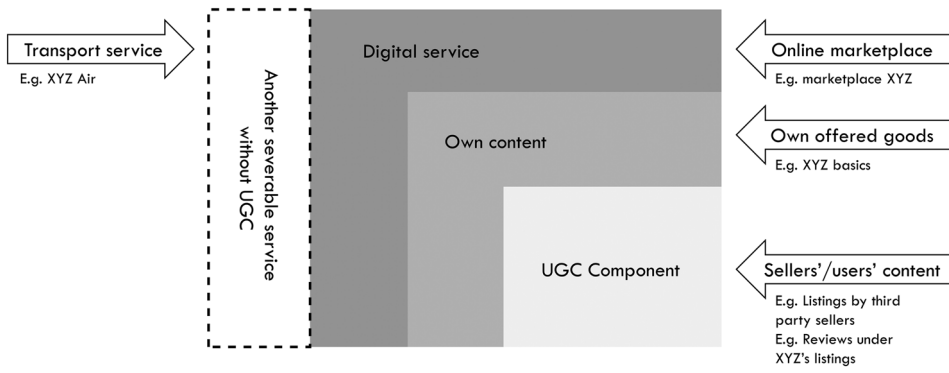


Figure 9.1 Scope of digital services: online marketplace

This is why Google Maps is regulated in its entirety, even if a lot of content on the service is not user-generated. Its UGC content that overlays editorial content can be viewed separately but is ultimately inextricably mixed in the user-experience. This logic explains why marketplaces often must report the number for the entire service because the digital service cannot be easily demarcated for its platform and non-platform side. Such hybrid platforms thus end up being more likely to be regulated, which can be justified by the fact that the user experience, and thus the impact on users, is inseparably mixed. The providers can always seek decoupling of two types of content, but often the UGC content will be ‘too useful’ for popularity of the service. Streaming services can be sometimes an example of a service whose user experience (eg podcasts as UGC component and music as editorial content) are separable. The same can be said about messaging services, such as Telegram, for their public and private communication channels. However, it ultimately depends on the usage of the service whether there are spill-overs between two types of content, and hence impact on the user experience. Moreover, for some streaming services, music could be considered UGC content too. If the licensed music would be uploaded without editorial control, such as by artists themselves, such uploaded music could constitute ‘information provided by a recipient of service.’ The copyright licensing regime is not determinative from the perspective of qualifying as a hosting service or an online platform. (Chapters 6–7). Figure 9.2 depicts such a situation.

At the time of writing, porn websites are very likely trying to use such separation technicalities to deflate the actual size of their services. This is clear from the fact that services like YouPorn, PornHub or Xvideos, which are in the top 20 websites around the world,¹⁹ initially either did not report any or report very low numbers²⁰—perhaps to

¹⁹ ‘Top Websites Ranking - Most Visited Websites in July 2023’ (*Similarweb*) <<https://www.similarweb.com/top-websites/>> accessed 1 September 2023.

²⁰ Youporn, ‘EU Digital Services Act’ <<https://www.youporn.com/information/#eudsa>> accessed 1 September 2023 (‘7.3 million average monthly recipients’).

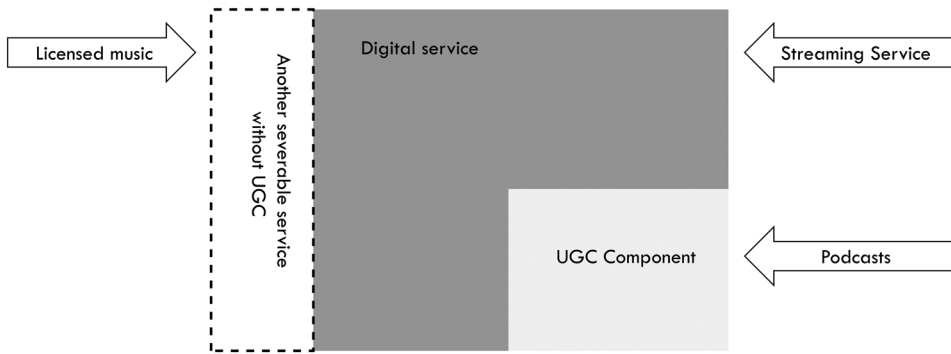


Figure 9.2 Scope of digital services: streaming service

avoid regulation and more scrutiny. Xvideos eventually conceded to be big enough to become a VLOP.²¹

Another set of issues concerns search engines specifically. Since search engines and online platforms have the same threshold, the problem only arises if two types of services are combined. Bing's search qualifies as a VLOSE. Even its integration of a ChatBot could count as a regulated non-UGC design feature. However, it is less clear whether its advertising intermediation arm constitutes only part of the service or an entirely separate VLOP. The storage of advertising and keywords qualifies as hosting, and the publication of the former should arguably constitute an online platform. If this is the case, the question is whether Bing's search size also elevates its advertising arm into a VLOP. Arguably, the answer should be yes since the advertising appears in the same search results. This can have consequences for the content moderation side of advertising and its relationship with advertisers, such as their disputes.

Finally, messaging services are regulated differently depending on how they operate. Cloud-based messaging such as Telegram or Messenger constitutes hosting (Chapter 7), while storageless messaging such as Signal qualifies as a mere conduit service. If the groups or channels on cloud-based messaging services are public, they can constitute online platforms. In Messenger's case, it is a feature integrated into a social network that remains regulated along with the main product. However, in Telegram's or Viber's case, this again begs the question of how to count the users. Arguably, if the user base for two functionalities is severable, the provider can deduce the numbers for non-platform activities, such as private messaging. But, as noted above, if the spill-overs between two functionalities are strong, it might be hard to count users separately.

Finally, providers are not prohibited from using methodology that inflates their numbers. While Article 24(2) asks for specific information, if more methodologies are

²¹ Xvideos initially did not disclose the numbers. But after a while, they disclosed having 160 million users which puts them among VLOPs (see Chris Köver, 'XVideos wird erste Pornoplattform in der Liga der Riesen' (*Netzpolitik.org*, 28 September 2023), <<https://netzpolitik.org/2023/digitale-dienste-gesetz-xvideos-wird-erste-pornoplattform-in-der-liga-der-riesen/>> accessed 28 September 2023).

acceptable, it is unlikely that the providers will be punished for higher than actual disclosures. In the absence of a common methodology, the numbers thus are not entirely comparable between providers. This is why the European Commission uses its own methodology to calculate the supervision fee.

One of the difficulties in practice is determining the borders of a particular service. This will be soon addressed by the General Court in *Zalando v European Commission*.²² As mentioned, Zalando argues that it can separate the average number of monthly users of its marketplace platform from those for its own online retail business. Such hybrid marketplaces pose several problems. If separation does not exist in the user experience, can it be created to count users? If the same users can browse the provider's own products and third-party products in the same interface and move seamlessly between them, can we split the user base?

My view is that unless such providers can show some strong evidence of separation in the user experience, providers need to count all user numbers together. While this might over-include some providers which pose fewer systemic risks, the DSA (unlike the Digital Markets Act) does not need interrogation of the actual impact on the markets or society, even if it does impose additional special obligations on the providers.²³ The 'reach threshold' of 45 million monthly active users is an arbitrary yardstick agreed upon in the legislative process. Thus, all that matters is the presence of users on the user interface. This is why Amazon's lawsuit²⁴ against the designation is so baffling. It seems clear that the company meets the threshold, and it is irrelevant whether the impact of its marketplace is incomparable with that of social media. The legislature's will is fairly clear.

As can be seen here, the definition of the recipient of the services in the DSA is very broadly worded in Recital 77:

Accordingly, the number of average monthly active recipients of an online platform should reflect all the recipients actually engaging with the service at least once in a given period of time, by *being exposed to information disseminated on the online interface of the online platform*, such as viewing it or listening to it, or by providing information ...²⁵

Thus, as long as the interface exposes its own offers to the same users as those of third-party traders, I am sceptical that an artificial separation, such as by considering attributable turnover, can be made to determine the reach of the service.

9.2.3 A notion of the service

The above examples show that the DSA sometimes needs to separate the UGC and non-UGC components (eg hybrid marketplaces or streaming services) to decide

²² Case T-348/23 *Zalando v Commission* (case in progress, lodged 27 June 2023).

²³ However, see section 9.3.1 on the broader implications of being designated as a VLOP/VLOSE.

²⁴ Case T-367/23 *Amazon Services Europe v Commission* (Case in progress, lodged 5 July 2023).

²⁵ DSA, Rec 77 (emphasis mine).

which surface it applies to under the concept of a 'service'. In other cases, the DSA must separate the platform from the non-platform side (eg messaging services) for the same purpose. In both cases, the separation revolves around the notion of an 'online platform' and the scope of the concept of 'service'. One possible approach to test the separation is as follows.

Article 3(i) defines an online platform as a 'service' that '*also* disseminates information to the public'. The definition provides a carve-out for a service which disseminates information to the public as 'purely ancillary features' or 'minor functionalities' of another principal service. However, such features or functionality must be inseparable to be excludable. *Inseparability* is defined as a situation when a functionality or feature 'cannot be used without that other service, and the integration of the feature or functionality into the other service is not a means to circumvent the applicability of this Regulation' (Article 3(i)).

Thus, the DSA potentially includes the following test for *separability* between a service and its parts that should fall under a different regime: *If a feature or functionality can be used without the principle service and is not split only to circumvent the application of the DSA, it is severable.*

Now, this would suggest several criteria. First, the words 'can be used' suggest that the user experience, rather than technological design, business side, or corporate organisation, determines the outcome. Second, the separability in the user experience must be somewhat 'natural' and cannot be forced, having been motivated by a desire to circumvent the DSA. Thirdly, the definition says nothing about the companies providing the 'service', which suggests that they are irrelevant for legal classification.

Equipped with such a derived test, one can try to resolve some of the thorny DSA questions ranging from which parts of the service should count users (Article 24) and who becomes a VLOP (Article 33), to the question whether the service is provided by a mid-sized company or not (Article 19), and what is the place of (main) establishment of the company behind the service for the purposes of allocating the public supervision (Article 56).

The DSA does not define which company or companies are responsible for the service. Problems arise if one company provides two or more services used by users or when one or more companies provide one service, whether jointly, or independently, used by users.

First, consider a somewhat simpler situation when a provider has several interfaces through which it provides a service (eg '.de', '.fr', apps, user-accounts, etc.) and different companies operate such versions of the service. The key legal question can arise, for instance, regarding whether two language versions of one product are still the same service for VLOP counting, or whether they have common or separate places of establishment. Based on the DSA's goal to capture 'online platforms' whose number of users 'reaches a significant share of the Union population',²⁶ it would seem logical to ignore minor version differences within the European market if the users

²⁶ DSA, Rec 76.

experience essentially the same product operated from one center. The argument would be that users who switch between country versions are still exposed to the same product, only on different addresses and different language versions. Arguably, the outcome should not be any different, even if the same provider uses a different company for each language version. Accepting such strategy when counting users would create a simple way for companies to keep the number of monthly active users almost *always* below the VLOP threshold and to undermine the idea that there should be only one main place of establishment if the service has several establishments in the EU.

Now, imagine another strategy. A provider splitting an online platform into two services operated by two companies. One which operates the UGC component and has less than 50 employees, or €10 million turnover, and the other which sells advertising and exceeds the threshold. The company thus potentially does not become regulated as an online platform. Again, the DSA does not have explicit provisions against such tactics. However, the relevant Recommendation foresees the notions of partner and linked enterprises whose employee headcount and turnover must also be considered (e.g., in case one company controls the other).²⁷ Thus, as long as two companies would be linked or viewed as jointly responsible for the service, the strategy to separate into several small economic entities would not work.

As argued above, a possible unifying argument in all these cases is that the regulation's goal is to capture a service organised around a specific user experience. Thus, even if the functionality is not operated by the same company, as long it is not *experienced as distinct by users*, it should count as unitary service. During review of the DSA, the legislature should consider adopting definition of 'service' and 'responsible companies' that can capture several entities, such as the term 'undertaking' in competition law. For instance, the Delegated Act on Supervisory Fees, which foresees a situation where a fee decision is 'addressed to more than one legal person' who are then 'jointly and severally liable for the payment' (Article 6(4)).²⁸ This clearly indicates that two or more companies could be understood as providing one service.

Intuitively, we understand the above situations as attempts to circumvent the DSA. However, drawing the boundary might be even harder in some cases. For instance, if a conglomerate starts buying different local marketplaces around the EU with the idea to keep their local brands but starts giving them the same systems, back-end, and support, at which point does it become a single service for the purposes of online platform definition, but also for counting its users? Again, intuitively, we understand that if a company starts harnessing the economies of scale and increases the integration of various products, thus creating an equivalent user experience, it will constitute one service at some point. However, at which exact point? The DSA has no answer to this question.

²⁷ Commission Recommendation 2003/361/EC concerning the definition of micro, small and medium-sized enterprises [2003] OJ L124/36, Art 3.

²⁸ Commission Delegated Regulation (EU) 2023/1127, Art 8.

Consider franchising in the digital space. If a Finish franchisor offering a platform with job adverts has ten independent franchises across the EU, how do we determine the user numbers and the place of establishment? If we examine the question from the user's perspective, the argument, depending on the circumstances, could be: that even franchising leads to one product with the same design that is being offered across the EU. However, one could have also a situation where the franchising only concerns technology and know-how but all key operations regarding the digital service, such as pricing, and similar key business decisions, are independently controlled locally. On the other hand, for services with local deliveries (eg food), it is often the case that the users remain in the local siloes and never interact with across the different versions. Accepting this argument tries to inject too much social media logic into the user counting. The DSA never states that users must be exposed to each other on the same interface so that we can conclude that they are part of the same service. Arguably, at least for VLOP counting, the better approach is to focus on the number of users exposed to the same service rather than their ability to interact with each other. These considerations will also be key to determine the place of main establishment of the service that allocates the competence to different public authorities (Article 56).

Finally, a related problem is when one provider gives space to another provider within its service to do its own business with a heavy UGC component. An end-user sees layers of providers and does not always know who determines what. For instance, a social network creates a space for others to create their pages, allowing their owners to moderate content and users. In this case, the social network is clearly an online platform, maybe even a VLOP. However, how about the page owner, who also moderates content? Such an owner could qualify for the status of a hosting provider (see Chapter 6.2.1). Being a hosting provider brings advantages, such as the availability of a liability exemption, but also obligations (eg having a contact point and giving a statement of reasons). Would the DSCs in such matryoshka-style situations insist on their enforcement even though such hosting providers are themselves part of a broader online platform?

In the DSA review, it will be worth revisiting how digital services are delimited to avoid these qualification problems, which are likely to result in a lot of litigation. While some of the issues can be solved by interpretation, other problems require explicit changes to the DSA.

9.2.4 On mini platforms

The DSA consciously excludes micro and small enterprises that operate online platforms from its most prescriptive regulations. Article 19 carves out such 'mini platforms' from the most onerous platform-specific (advanced) obligations, such as internal and external dispute settlement. The only exceptions to this rule are providers whose digital services reach a threshold of a VLOP or VLOSE. For them, the small company size is overshadowed by their large user base (Article 19(2)).

Small enterprises are defined by a Council Recommendation²⁹ as ‘an enterprise which employs fewer than 50 persons and whose annual turnover and/or annual balance sheet total does not exceed EUR 10 million.’ Micro enterprises are those which employ ‘fewer than 10 persons and whose annual turnover and/or annual balance sheet total does not exceed EUR 2 million.’³⁰ As a result, online platforms that do not exceed either 50 employees or €10 million annual turnover/balance sheet remain only subject to basic obligations for hosting services, and intermediary services. This notion, however, depends also on the linked and partner enterprises (Article 3 of the Recommendation), which means that a big parent holding company can easily disqualify smaller daughter companies from the status. Article 4 of the Council Recommendation and Article 19(1) moreover have transitory periods which means that reclassification is not immediate. It can take one or two years.

The DSA says nothing about whether companies operating DSA-regulated digital services must be exclusively or partly devoted to the DSA-regulated portion of a business. Thus, a media house earning 80% of its revenue from newspapers and 20% from a social network under the same company will have to be considered as a whole, despite the fact that most revenue is attributable to the DSA-irrelevant parts of the business. The company can legitimately restructure and spin out its less successful social network to a separate company that does not exceed the small enterprise threshold.

9.3 Judicial Review of VLOP/VLOSE Designation Decisions

Amazon, Pornhub, Stripchat, Xvideos, and Zalando, are currently litigating their designation as a VLOP before the General Court.³¹ The obvious reason why companies might seek invalidation is to avoid being regulated by the DSA. An ancillary motivation can be to avoid being regulated by other acts of EU law that are increasingly relying on the status of VLOPs as the regulatory thresholds. At the time of writing, five other legislative proposals are already relying on the concept: the Commission’s Proposal for the European Media Freedom Act,³² the European Parliament’s proposed addition to the Artificial Intelligence Act,³³ the Commission’s Proposal for the Political Advertising

²⁹ As defined in Commission Recommendation 2003/361/EC concerning the definition of micro, small and medium-sized enterprises [2003] OJ L124/36, art 2(2). Other EU laws do not necessarily use the same concepts, see Article 3 of Directive 2013/34/EU of the European Parliament and of the Council of 26 June 2013 on the annual financial statements, consolidated financial statements and related reports of certain types of undertakings, amending Directive 2006/43/EC of the European Parliament and of the Council and repealing Council Directives 78/660/EEC and 83/349/EEC (2013) OJ L 182 (anticipating higher thresholds).

³⁰ *ibid* art 2(3).

³¹ *Zalando v Commission* (n 22); *Amazon Services Europe v Commission* (n 27); *WebGroup Czech Republic v Commission* T-139/24; *Aylo Freesites v Commission* T-138/24; *Technius v Commission* T-134/24.

³² Commission, ‘Proposal for a Regulation of the European Parliament and of the Council establishing a common framework for media services in the internal market (European Media Freedom Act) and amending Directive 2010/13/EU’ COM(2022) 457 final, art 17.

³³ European Parliament, ‘Amendments adopted by the European Parliament on 14 June 2023 on the proposal for a regulation of the European Parliament and of the Council on laying down harmonised rules on artificial intelligence (Artificial Intelligence Act) and amending certain Union legislative acts (COM(2021) 020—C9-0146/2021—2021/0106(COD))’ Document P9_TA(2023)0236, amendment 740 (‘AI systems intended to be used by

Regulation,³⁴ and the Commission's Proposal for the European Digital Identity Regulation.³⁵ Thus, in the years to come, the designation disputes can gain importance beyond the obligations imposed by the DSA.

The validity of the Commission's designation decisions pursuant to Article 33(4) of the DSA can be reviewed according to Article 263 Treaty on the Functioning of the European Union (TFEU), which provides that:

Any natural or legal person may, under the conditions laid down in the first and second paragraphs, institute proceedings against an act addressed to that person or which is of direct and individual concern to them, and against a regulatory act which is of direct concern to them and does not entail implementing measures.

The designation decisions are undoubtedly 'challengeable acts' because they are legally binding on the designated companies,³⁶ are based on a proper legal basis (Article 33(4))³⁷ and produce additional specific legal effects.³⁸ The direct annulment action can be undoubtedly initiated by affected companies who are on the receiving end of the designation because such designations are 'capable of affecting the interests of the applicant by bringing about a distinct change in his legal position.'³⁹ The companies can also seek preliminary injunctions to suspend the application of some of the special obligations of the DSA before the Court examines the status. For instance, Amazon succeeded in temporarily suspending the application of Article 39 about the advertising archives in its pending case with the argument that it 'enable third parties to access significant trade secrets concerning the advertising strategies of the applicant's advertising customers.'⁴⁰ The President of the General Court, however, declined to grant the same order regarding Article 38, the mandatory opt-out mechanism for the recommender systems. On appeal, the European Court of Justice lifted the interim measures with reference to the balance of interests.⁴¹

While such designations also produce legal effects on third parties, such as consumers or researchers who gain new rights, their standing to challenge designations is less likely. Firstly, since they need to challenge an act of the Commission, they would be

social media platforms that have been designated as very large online platforms within the meaning of Article 33 of Regulation EU 2022/2065, in their recommender systems to recommend to the recipient of the service user-generated content available on the platform.')

³⁴ Commission, 'Proposal for a Regulation of the European Parliament and of the Council on the transparency and targeting of political advertising' COM(2021) 731 final, art 7(6).

³⁵ Commission, 'Proposal for a Regulation of the European Parliament and of the Council amending Regulation (EU) No 910/2014 as regards establishing a framework for a European Digital Identity' COM(2021) 281 final, art 12b.

³⁶ Case C-911/19 *Fédération bancaire française (FBF)* ECLI:EU:C:2021:599, para 36.

³⁷ Case T-113/89 *Nefarma* ECLI:EU:T:1990:82, para 68.

³⁸ Case T-258/06 *Germany v Commission* ECLI:EU:T:2010:214, para 27.

³⁹ C-322/09 P *NDSHT v European Commission* ECLI:EU:C:2010:701, para 45.

⁴⁰ Case T-367/23 R *Amazon Services v Commission* ECLI:EU:T:2023:589, para 64.

⁴¹ See C-639/23 P(R)), *Amazon v European Commission*, ECLI:EU:C:2024:277: 'it must be held that the interests defended by the EU legislature prevail, in the present case, over Amazon's material interests, with the result that the balancing of interests weighs in favour of dismissing the application for interim measures' (para 164).

effectively arguing against the designation and, thus, against the additional rights they might derive from it. It is quite clear that third parties are more likely to support, rather than contest, the Commission's designation that gives them rights. Second, even if it would make sense to challenge designations for third parties, they would need to demonstrate 'direct' and 'individual concern' (Article 263).⁴²

Consumers, researchers, and civil society are more likely to either *intervene* to support the Commission in designation disputes initiated by providers according to Article 40 of the Protocol on the Statute of the Court⁴³ or seek a declaration that the Commission is unlawfully failing to designate some providers which costs them extra rights according to Article 265 of the TFEU. As regards interventions, the threshold for standing differs. Article 265 TFEU speaks of 'establish[ing] an interest', which the case law interprets to mean a 'direct [and] existing interest' in the result of a case pending before the Court.⁴⁴

This route is used by NGOs less frequently in Luxembourg than in Strasbourg, and the Court of Justice of the European Union tends to be somewhat strict with the applications, usually favouring associations rather than individuals.⁴⁵ For representative associations composed of a broad membership, the Court tends to waive the requirement if the case is 'raising questions of principle liable to affect those members.'⁴⁶ For instance, the European Consumer Organisation (BEUC) has been repeatedly accepted as an intervener in this way.⁴⁷ Under the DSA, the same should be possible for associations of researchers, consumers, and possibly even of users in general. For NGOs, the Court cautiously accepts some that have shown to be directly involved with the issues.⁴⁸ Thus, the NGOs involved in the Codes of Conduct and give input for risk management by VLOP/VLOSEs could argue their standing. In *Zalando*, the General Court recently issued a pioneering decision that allowed a consumer organisation to intervene invoking the rights derived from Article 86.⁴⁹ This is an encouraging signal that interventions by NGOs in the DSA-related direct cases in Luxembourg might become more commonplace. In my view, this is necessary given that industry usually asks

⁴² Case C-25/62 *Plaumann v Commission* ECLI:EU:C:1963:17 (direct concern); C-486/01 *Front national v European Parliament* ECLI:EU:C:2004:394 (individual concern).

⁴³ Protocol (No 3) On the Statute of the Court of Justice of The European Union [2004] OJ C-310/210, art 40.

⁴⁴ Case T-138/98 Order of the President of the First Chamber of the Court of First Instance of 3 June 1999 in *ACAV and others v Council* ECLI:EU:T:1999:121, para 14; Viktor Luszcz, *European Court Procedure: A Practical Guide* (Hart Publishing 2020) 629ff.

⁴⁵ Jasper Krommendijk and Kris van der Pas, 'To Intervene or Not to Intervene: Intervention before the Court of Justice of the European Union in Environmental and Migration Law' (2022) 26(8) *International Journal of Human Rights* 1394, 1403.

⁴⁶ C-151/97 P(I) Order of the President of the Court of 17 June 1997 in *National Power and PowerGen v British Coal and Commission* ECLI:EU:C:1997:307, para 66.

⁴⁷ Case T-612/17 Order of the President of the Ninth Chamber of the General Court of 17 December 2018 in *Google and Alphabet v Commission* (Google Shopping) ECLI:EU:T:2018:1007.

⁴⁸ Case T-37/04 R Order of the President of the Court of First Instance of 7 July 2004 in *Região autónoma dos Açores v Council* ECLI:EU:T:2004:215, para 57ff; see the debate in Luszcz (n 48) 634ff.

⁴⁹ Following initial rejection by the President of the General Court in 2023, the General Court permitted the European Information Society Institute (EISI), a consumer organisation, to intervene on behalf of the consumers on the side of the European Commission (Order of the Seventh Chamber of the General Court, T-348/23, 20th of March 2024) after successful appeal (C-647/23 P(I) - EISI v Zalando and Commission). The author acted as a lawyer for the NGO.

its own associations to support their positions. Involvement of NGOs is thus a question of equality of arms.

As regards actions against *failures to act*, the standing of individuals and organisations requires their ‘direct’ and ‘individual concern’ as is the case for actions for annulment.⁵⁰ Contrary to the wording of Article 265 of the TFEU, the applicant does not need to be potentially ‘addressed’ by such a decision, which means that even consumers, researchers, and civil society could qualify. According to the case law, if such an applicant could seek direct annulment of an act according to Article 263, it can also pursue an action against a failure to issue an act.⁵¹ A designation decision is clearly not discretionary.⁵² The Commission has a duty to designate if the conditions of the DSA are met.⁵³ The obligation according to Article 33(4) of the DSA is sufficiently well-defined and unconditional to be reviewed by Article 265 TFEU.⁵⁴

9.4 Separation of Liability and Accountability

The DSA’s significant regulatory contribution is splitting due diligence obligations from the liability for underlying content. Prior to the DSA, most laws tried to influence providers’ behaviour by threatening joint liability for their users’ actions. Save for some areas of law, the courts often faced a binary decision: impose a duty of care or deny it and confirm a liability exemption.⁵⁵ The DSA ends this binary. It comes up with its own expectations formulated as due diligence obligations. Providers violating them can be held to account. These legal obligations are separate from those of their users. The violations of the DSA have no bearing on the provider’s preservation of the liability exemptions. Even providers who are not liable for users remain accountable for their failings to be diligent. They are *accountable but not liable*.

The E-Commerce Directive (ECD) also acknowledged this separation between *liability* and *due diligence* obligations. Recital 48 ECD clarified that ‘this Directive does not affect the possibility for Member States of requiring service providers, who host information provided by recipients of their service, to apply *duties of care*, which can reasonably be expected from them, and which are specified by national law, in order to detect and prevent certain types of illegal activities.’ Such duties of care referred to autonomous obligations, distinct and unrelated to the (tortious) liability issues. Hence, under the ECD, the Member States could legislate to impose such distinct measures, such as establishing complaint mechanisms or hotlines, to the extent that they did not violate liability exemptions. Given the divergences and fragmentation arising across

⁵⁰ Luszcz (n 48) 260ff.

⁵¹ C-68/95 *T Port v Bundesanstalt für Landwirtschaft und Ernährung* ECLI:EU:C:1996:452, para 59.

⁵² cf Case T-521/14 *Sweden v Commission* ECLI:EU:T:2015:976 (conditionality to issue delegated acts).

⁵³ Case T-164/10 *Pioneer Hi-Bred International v Commission* ECLI:EU:T:2013:503.

⁵⁴ Luszcz (n 48) 246ff.

⁵⁵ Martin Husovec, ‘Remedies First, Liability Second: Or Why We Fail to Agree on Optimal Design of Intermediary Liability’ in Giancarlo Frosio (ed), *Oxford Handbook of Online Intermediary Liability* (Oxford University Press 2020).

Europe, the DSA removes that margin of manoeuvre from the Member States and introduces its own catalogue of ‘duties of care’ through harmonisation.

The DSA’s accountability-but-not-liability design was not an automatic choice. In the legislative process, the European Parliament strongly pushed to make the liability exemptions *dependent* on compliance with due diligence obligations. Thus, any violation of Chapter III of the DSA would make liability exemptions unavailable. The argument was that such conditionality would create a strong incentive for compliance. The liability exemptions would become a truly hard-earned ‘prize’ or a ‘privilege’ given only to those who respected the law in its entirety. A similar approach exists under section 79 of the Indian Information Technology Act 2000,⁵⁶ which makes the liability exemptions conditional upon ‘the intermediary observ[ing] due diligence while discharging his duties under this Act and also observ[ing] such other guidelines as the Central Government may prescribe in this behalf’. Related governmental acts, such as one applicable to social media, then further specify what such ‘due diligence’ duties mean.⁵⁷

The European Commission justified this design as follows:

Structuring due diligence obligations as a condition of the liability exemption would imply that compliance would be ultimately voluntary: the intermediary service would only be ‘incentivised’, but not ‘required’ to comply with the rules. It could make a calculation of risks, and consider that, based on national or Union laws, it would still not be held liable by a court, or that the costs of complying could be lower than the costs incurred through potential sanctions. In certain cases, the incentive for intermediaries to comply with the conditions to qualify for the liability exemption may well be limited, for example, when damage claims are not a realistic threat. However, intermediaries should not be left the choice whether or not to comply with the relevant requirements and self-standing obligation are required to achieve this objective.⁵⁸

In other words, the Commission argued that *conditionality* would not immediately improve compliance. It would also mean that those who stop qualifying for liability exemptions do not have to comply with due diligence obligations anymore, although they are performing the relevant technical function (eg non-neutral hosts). For platforms, the

⁵⁶ S 79, Indian Information Technology Act, No 21 of 2000 <https://www.indiacode.nic.in/bitstream/123456789/13116/1/it_act_2000_updated.pdf> accessed 29 August 2023.

⁵⁷ Part II(4)(4), Information Technology (Intermediary Guidelines and Digital Media Ethics Code) Rules, Notification of 25 February 2021, GSR 139(E) <<https://mib.gov.in/sites/default/files/IT%28Intermediary%20Guidelines%20and%20Digital%20Media%20Ethics%20Code%29%20Rules%2C%202021%20English.pdf>> accessed 29 August 2023 (‘A significant social media intermediary shall endeavour to deploy technology-based measures, including automated tools or other mechanisms to proactively identify information that depicts any act or simulation in any form depicting rape, child sexual abuse or conduct, whether explicit or implicit, or any information which is exactly identical in content to information that has previously been removed or access to which has been disabled on the computer resource of such intermediary under clause (d) of sub-rule (1) of rule 3, and shall display a notice to any user attempting to access such information stating that such information has been identified by the intermediary under the categories referred to in this sub-rule’).

⁵⁸ Commission, ‘“Impact Assessment” (Commission Staff Working Document) Accompanying the Document “Proposal for a Regulation of the European Parliament and of the Council on a Single Market for Digital Services (DSA) and Amending Directive 2000/31/EC”’ SWD(2020) 348 final, annex 9.

application of liability privileges would become a nightmare because they are subject to many open-ended obligations. In my view, such conditionality would tilt the incentives even more in the direction of over-removal because any misstep would have grave consequences. It would put the DSA's balanced and tailored rules under a one-sided incentive structure. Moreover, given the vagueness of some of the due diligence obligations, the liability exemption would be useless as a legal defence. Already under section 512 DMCA, some providers preferred to confront liability norms directly rather than liability exemptions because of the long laundry list of the conditions that the provider must meet.⁵⁹

A regulatory design that makes liability exemptions conditional upon observance of all the due diligence obligations has two potential outcomes: in a better case, it pronounces them redundant, or in a worse case, it suggests to the courts that to be free of liability for others, a long list of conditions must first be met. To make liability exemptions conditional upon satisfying due diligence obligations would be to force providers to balance on the edge of a cliff, knowing that one small slip would send them tumbling into national liability chaos.

In my view, the most important debate gets lost when we bundle due diligence obligations and the liability for third-party content. Any non-compliance can potentially mean dramatic consequences. The key calibration of the system should be in deciding what tailored incentives for compliance are proportionate, proper, and effective. If everything is lumped together in one lot, the enforcement system is under strain to target its responses. The DSA's design allows for a better escalation of enforcement and tailoring of its demands. Plus, the DSA's mixture of private and public enforcement of two separate systems—liability for content and accountability for due diligence obligations—is arguably superior to a 'one-size-fits-all system'. In fact, this design feature is part of what sets the DSA apart as a better regulatory model (see Chapter 21).

That being said, due diligence obligations continue to have some meeting points with liability exemptions. If a provider is obliged to conduct a check of some information and, while doing so, acquires actual knowledge, the two obligations can run a very similar course. However, the opposite is also easily true. A provider that fails to act upon knowledge but provides properly presented but legally incorrect explanations acts correctly in terms of procedure but can still become liable along with its users for failing to take down illegal content. Similarly, a provider that fails to issue a content creator with the statement of reasons and thus violates its procedural due diligence obligation might still correctly assess the case on substance.

⁵⁹ In the decisions of the United States Court of Appeals, Ninth Circuit in *Perfect 10 Inc v Visa International Service Association* 494 F 3d 788 (9th Cir 2007), the Court notes at fn 4 that: 'Because Defendants are not "service providers" within the scope of the DMCA, they are not eligible for these safe harbors. The result, under Perfect 10's theories, would therefore be that a service provider with actual knowledge of infringement and the actual ability to remove the infringing material, but which has not received a statutorily compliant notice, is entitled to a safe harbor from liability, while credit card companies with actual knowledge but without the actual ability to remove infringing material, would benefit from no safe harbor. We recognize that the DMCA was not intended to displace the development of secondary liability in the courts; rather, we simply take note of the anomalous result Perfect 10 seeks'. For a broader debate of s 512 from the European perspective, Martin Husovec, 'Rising Above Liability: The Digital Services Act as a Blueprint for the Second Generation of Global Internet Rules' (2023) 38 Berkeley Technology Law Journal 883, https://btjl.org/wp-content/uploads/2024/01/0002_38-3_Husovec.pdf.

In the following chapters, the book takes the reader through three basic areas of obligations: content moderation, risk management, and transparency. Although demarcated as such, these three areas are not water-tight compartments; the separation allows me to better explain their different features. Content moderation rules are mostly about the process of how decisions are made. Transparency/oversight rules are about what gets published, controlled, and notified by whom. Finally, risk management rules are about how companies must redesign their services and further test, monitor, and improve the working of their systems to better manage risks posed by the functioning and use of their services. Table 9.4 provides a quick overview of Part III of the DSA.

Table 9.4 Overview of due diligence obligations.

Obligations	Universal <i>All providers of mere conduit, caching, hosting services</i>	Basic <i>all hosting services</i>	Advanced <i>medium-to-large online platforms</i>	Special <i>VLOPs & VLOSEs</i>
Content Moderation	Art 14 (fair rules)	Art 16 (notice submission) Art 17 (statement of reasons) Art 18 (notification of suspected relevant crimes)	Art 20 (internal redress) Art 21 (out-of-court mechanism) Art 22 (trusted flaggers) Art 23 (anti-abuse provisions) Art 30–32 (specific rules on B2C marketplaces)	Art 38 (recommender systems) Art 34–35 (general risk management) Art 45–48 (Codes of Conduct)
Risk-based Approach (design, functioning, use of a service)	N/A		Art 25 (fair design of user experience); Art 26(3) (profiling in advertising); Art 27 (recommender systems); Art 28 (protection of minors); Art 30 (traceability of traders); Art 31 (facilitating design for traders)	
Transparency and Oversight	Art 11 (regulator’s contact point); Art 12 (recipient’s contact point); Art 13 (legal representative); Art 15 (content moderation reporting);	N/A	Art 22 (reports by trusted flaggers); Art 24 (content moderation reports plus); Art 24(5) (database of all the statements of reasons); 24(2) (monthly users reporting); Art 26 (advertising disclosure)	Art 39 (advertising archives); Art 37 (auditing); Art 40 (data access); Art 41 (compliance function); Art 42 (content moderation transparency)

Risk-Based Approach to Digital Services

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13.1 Regulatory Moment

Regulation is often a product of public confidence crises. For instance, European food safety laws were drafted in response to major incidents in the 1990s.¹ The Bovine Spongiform Encephalopathy (BSE) or Mad Cow Disease crisis, in particular, even led the then-president of the Commission, Jacques Santer, to promise institutional restructuring and legislative reform based on ‘sound science.’² Similarly, the regulation of banks has its origins in numerous financial crises. The European prudential requirements were introduced in the aftermath of the global financial crisis in 2007–08 to ensure that banks are better able to withstand liquidity shocks and absorb losses.³

The popular demand for digital regulation, too, was born out of a continuous stream of public confidence crises in the 2010s: hate speech, child abuse, grooming, terrorist content, election interference, disinformation, war propaganda, and the list goes on.⁴ The concerns related to digital services are best encapsulated in Frances Haugen’s revelations. The former data scientist at what was then Facebook leaked a wide array of internal documents in 2021, accusing Facebook of ‘putting profit over the public good.’⁵ She claimed that: ‘[t]he thing I saw at Facebook over and over again was there

¹ Patrick Van Zwanenberg and Erik Millstone, *BSE: Risk, Science, and Governance* (OUP 2005); Tim Lang, ‘Food, the Law and Public Health: Three Models of the Relationship’ (2006) 120 (Suppl 1) *Public Health* 30; see also European Parliament and the Council Regulation (EC) No 178/2002 laying down the general principles and requirements of food law, establishing the European Food Safety Authority and laying down procedures in matters of food safety [2002] OJ L31/1.

² Florence Bergeaud-Blackler and Maria Paola Ferretti, ‘More Politics, Stronger Consumers? A New Division of Responsibility for Food in the European Union’ (2006) 47 *Appetite* 134, 137.

³ European Parliament and Council Regulation (EU) No 575/2013 on prudential requirements for credit institutions and investment firms and amending Regulation (EU) No 648/2012 [2013] OJ L176/1; Sophie Harnay and Laurence Scialom, ‘The Influence of the Economic Approaches to Regulation on Banking Regulations: A Short History of Banking Regulations’ (2016) 40 *Cambridge Journal of Economics* 401.

⁴ The numerous challenges that shaped the European system have been detailed in chs 1, 4, and 17.

⁵ Kari Paul and Dan Milmo, ‘Facebook Putting Profit before Public Good, Says Whistleblower Frances Haugen’ *The Guardian* (4 October 2021) <<https://www.theguardian.com/technology/2021/oct/03/former-facebook-employee-frances-haugen-identifies-herself-as-whistleblower>> accessed 5 September 2023.

were conflicts of interest between what was good for the public and what was good for Facebook. And Facebook, over and over again, chose to optimise for its own interests, like making more money.’⁶

According to Julia Black and Andrew Murray, the period between 1995 and 2020 has been characterised by a lack of meaningful regulation over the digital environment.⁷ They observe that: ‘[e]ffective regulation of the online environment had been ceded through contractualism to a small number of key online platforms: platforms which act within their own spheres as private nation states.’⁸

The lack of top-down social control over digital services inevitably meant that the power has been appropriated by companies.⁹

For regulation of any kind, the most important consequence of this redistribution of power is described by Collingridge who posits that ‘[w]hen change is easy, the need for it cannot be foreseen; when the need for change is apparent, change has become expensive, difficult, and time-consuming.’¹⁰ Thus, any regulatory attempts by the state to regulate digital services 20 years after they have been widely adopted will only face increasing difficulty in exercising social control over the technology.¹¹

However, diagnosing the regulatory gap is easier than devising a useful regulatory approach.

Currently, our banks, food, drugs, environment, and many other areas are regulated through some form of a risk-based approach. Quite naturally, with the emergence of platforms and the risks they present, scholars started wondering whether the same approach could apply to digital services.¹²

In theory, the European Union (EU) legislature could have opted for the traditional command-and-control model of regulation where rules are ready-made and fully detailed upfront. However, relying on merely a top-down approach would have risked the rules becoming obsolete very quickly. Digital markets are characterised by large information asymmetries,¹³ rapid change, and global nature.¹⁴ The legislator moreover had

⁶ *ibid.*

⁷ Julia Black and Andrew Douglas Murray, ‘Regulating AI and Machine Learning: Setting the Regulatory Agenda’ (2019) 10(3) *European Journal of Law and Technology* 1, 5.

⁸ *ibid.*

⁹ Many scholars have anticipated this redistribution of powers in the absence of state intervention. See Henry Perritt, ‘Cyberspace Self-Government: Town-Hall Democracy or Rediscovered Royalism?’ (1997) 12 *Berkeley Technology Law Journal* 413; Lawrence Lessig, *Code and Other Laws of Cyberspace* (Basic Books 1999). See also ch 1.4 for a further discussion.

¹⁰ David Collingridge, *The Social Control of Technology* (St Martin’s Press 1980) 11. See the discussion in ch 1.3.

¹¹ See ch 1.

¹² Carsten Ullrich, ‘A Risk-Based Approach Towards Infringement Prevention on the Internet: Adopting the Anti-Money Laundering Framework to Online Platforms’ (2018) 26(3) *International Journal of Law and Information Technology*, 226–51; Carsten Ulrich, *Unlawful Content Online: Towards a New Regulatory Framework for Online Platforms* (Nomos, 2021); Pieter Nooren, Nicolai van Gorp, Nico van Eijk, and Ronan Ó Fathaigh, ‘Should We Regulate Digital Platforms? A New Framework for Evaluating Policy Options’ (2018) 10 *Policy & Internet* 264–301; Lorna Woods and William Perrin, ‘Online Harm Reduction—a Statutory Duty of Care and Regulator’ (*Carnegie UK Trust* 2019) 7, 13 <<https://carnegieuktrust.org.uk/publications/online-harm-reduction-a-statutory-duty-of-care-and-regulator/>> accessed 10 August 2023.

¹³ Michèle Finck, ‘Digital Co-Regulation: Designing a Supranational Legal Framework for the Platform Economy’ (2018) 43(1) *European Law Review* 47, 51, 54.

¹⁴ See ch 1.

Table 13.1 DSA's elements according to regulatory approach

DSA's components	Goals	Regulatory approach
Risk management	Improved design	(1) few detailed rules for mid-sized platforms (2) supervised co-regulation for VLOP/ VLOSEs
Content moderation	Procedural fairness	(1) detailed rules based on the size/function
Transparency	Explainability of decision-making and understanding of risks	(1) detailed rules for mid-sized companies (2) mandated data access for VLOP/VLOSEs

to balance the protective goals with overly broad rules that can erect extremely high barriers for competitors. Despite the limits of competition as a tool of regulation, its disciplining properties needed to be preserved for the digital ecosystem.¹⁵

Therefore, the EU legislature decided to embrace *several* regulatory approaches at once. In the areas where the risks seemed most fast-paced and open to new developments, traditional command-and-control regulation was substituted for the polycentric regulatory model with elements of co-regulation.¹⁶ In the areas where the problems seem to have crystallised across the industry, the EU legislature adopted detailed rules (see Table 13.1).

For the purposes of the latter, the Digital Services Act (DSA) defines Big Tech as very large online platforms or very large search engines (VLOPs/VLOSEs) that reach 45 million monthly active users and are designated as such by the European Commission (Chapter 9). VLOPs/VLOSEs are subject to 360-degree scrutiny of many types of risks through the annual regulatory dialogue with the European Commission. No corner of the service is spared. Many risks are relevant. The companies must conduct self-assessment, arrange audits, and engage with regulators, researchers, and other actors. These obligations are thus the opposite of prescriptive; they are very general and open-ended. They ask companies to think about the impact of their services on fundamental rights.

The marriage of businesses and the protection of human rights is not unique to digital services. Building upon the United Nations (UN) Ruggie Principles,¹⁷ the EU has recently proposed to tighten the due diligence obligations of companies when they operate their supply chains. Among other things, they must consider human rights abuses of their suppliers, such as forced labour, child labour, inadequate workplace

¹⁵ See ch 1.4.
¹⁶ Julia Black, 'Decentring Regulation: Understanding the Role of Regulation and Self-Regulation in a "Post-Regulatory" World' (2001) 54(1) Current Legal Problems 103; Finck (n 13) 58.
¹⁷ Office of the High Commissioner for Human Rights, 'Guiding Principles on Business and Human Rights: Implementing the United Nations "Protect, Respect and Remedy" Framework' (UN 2011) <https://www.ohchr.org/sites/default/files/Documents/Publications/GuidingPrinciplesBusinessHR_EN.pdf> accessed 5 September 2023. In her 2012 PhD thesis, Emily Laidlaw suggested applying them to the gatekeepers; published as Emily B Laidlaw, *Regulating Speech in Cyberspace: Gatekeepers, Human Rights and Corporate Responsibility* (CUP 2015).

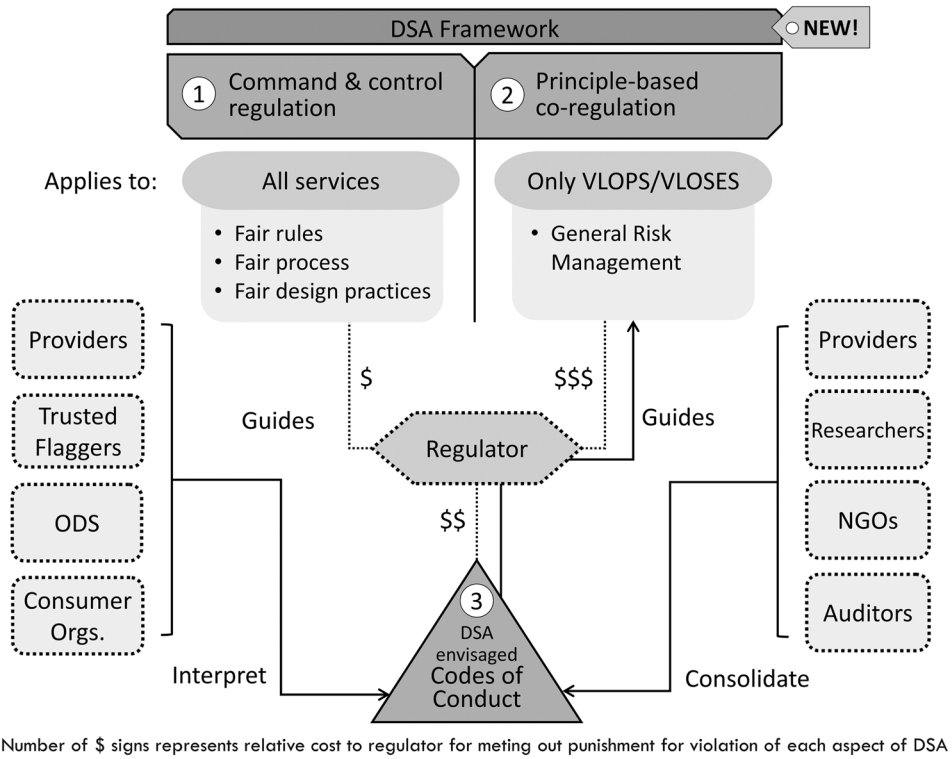


Figure 13.1 The DSA framework in one picture

health and safety, exploitation of workers, and environmental impacts, and establish processes to manage them.¹⁸

However, the unique characteristic of digital services regulation is, as explained by Balkin,¹⁹ that they are largely implemented with the *individual end-users* in mind since the risks at issue are often linked to expressive human behaviour. Although outwardly regulating companies, such regulation actually seeks to regulate private individuals using these global communication services. Regulation of digital services thus not only regulates the business; it regulates crowds. The stakes are, therefore, much higher. For this reason, without proper judicial oversight, the DSA's general risk management system can become a dangerous tool for regulators who claim to act in the public interest but do not bother to review evidence to confirm their hunches.

The graphic below tries to capture the essence of the DSA's regulatory approach, emphasising that the mode of enforcement differs for detailed prescriptive and risk management rules (see Figure 13.1). The prescriptive rules are cheaper and faster to enforce. In contrast, the general risk management provisions are expensive and slow

¹⁸ Commission, 'Proposal for a Directive of the European Parliament and of the Council on Corporate Sustainability Due Diligence and Amending Directive (EU) 2019/1937' COM(2022) 71 final.

¹⁹ Jack M Balkin, 'Free Speech is a Triangle' (2018) 118 Columbia Law Review 2011.

to enforce on their own. Similar to competition law, the lack of proper evidence will likely become an important limiting factor for the Commission's actions. In the absence of industry standards, it will be costly to substantiate baseline evidence to articulate what mitigation efforts are clearly suboptimal. In the event of judicial review, the Commission will lose if it cannot produce 'precise and consistent evidence' of both baseline and suboptimality of the behaviour of regulatees.²⁰ Given that the 'benefit of any doubt' must be given to the accused of regulatees, the evidence must be strong.²¹ From this perspective, the Codes of Conduct primarily help the Commission by making enforcement under Articles 34 and 35 somewhat cheaper and faster because they establish *prima facie* evidence of the industry's good standard of practices.

13.2 A Risk-Based Approach

As aptly summarised by Murray, '[e]volution rather than revolution is the key to effective regulatory intervention'.²² Even the DSA's detailed command-and-control rules are often codifications of prior industry practices. The mechanisms like trusted flaggers, appeals, transparency reports, or centralised databases of decisions already existed before the DSA, although they might have been more limited or only relied upon by some. From this perspective, the DSA is not exactly revolutionary. Even the general risk management tool foreseen for Big Tech is designed to favour incremental change rather than radical change. Risk mitigation improves year-by-year, as industry, society, and regulators gradually learn, rather than by large leaps.

The risk approach is therefore a good fit for the risks posed by the biggest digital services. If drafted as polycentric or symbiotic regulation,²³ it achieves a better concentration of knowledge naturally dispersed across society among many actors.²⁴ The outsourcing of solution-finding and agenda formulation broadens the ability of regulators to absorb important information. The exercise of drafting Codes of Conduct can potentially increase civil engagement and the transparency of public-private dealings that would otherwise remain opaque. Such forums potentially strengthen democratic deliberation in the EU.²⁵ And the regulatory relevance of these same Codes of Conduct increases the chances of their judicial review.

The DSA's idea to interweave co-regulation of Big Tech with typical top-down regulation of the industry as a whole is a strategic choice. It preserves the possibility for the regulators to invoke ready-made rules against other VLOPs unwilling to cooperate,

²⁰ Joined Cases T-67/00, T-68/00, T-71/00, and T-78/00 *JFE Engineering v Commission* ECLI:EU:T:2004:221, para 341; Koen Lenaerts, 'Some Thoughts on Evidence and Procedure in European Community Competition Law' (2006) 30(5) *Fordham International Law Journal* 1463.

²¹ Case 27/76 *United Brands v Commission* ECLI:EU:C:1978:22, para 265.

²² Andrew Murray, 'Symbiotic Regulation' (2008) 26(2) *John Marshall Journal of Information Technology & Privacy Law* 207, 225.

²³ Finck (n 13) 65; Murray (n 22) 224 ('A better approach is a control model that affords all participants in the regulatory matrix an opportunity to shape the evolutionary development of their environment.').

²⁴ Cass R Sunstein, *Infotopia: How Many Minds Produce Knowledge* (OUP 2006).

²⁵ Finck (n 13) 66.

even building the industry consensus (Chapter 20). In literature, such backup options have been recognised as key tools to motivate compliance under co-regulatory models.²⁶ In Chapter 15, I argue that the existence of prescriptive rules allows the regulators to practice a tit-for-tat enforcement strategy to motivate better compliance with more open-ended rules, such as general risk management.

Thus, adopting the risk-based approach and borrowing from the playbook of other industries are a good direction of travel.²⁷ In this sense, I agree with Woods and Perrin, the authors of the most comprehensive risk-based regulatory model for digital services, which inspired the UK Online Safety Act.²⁸ However, I disagree with their initial attempt to analogise risk management imposed on communication tools to physical safety rules, pollution, or similar problems.²⁹ As I will show, communication tools have many special features that demand a modified risk-based approach.

For a start, the respective subject matters are simply different in nature. The online vitriol that digital services regulation might seek to address is not the same as the disease-causing pathogens that food safety regulations aim to eliminate. The actions of internet actors, rather than unambiguous blights on the ecosystem, are the behaviour of real, living people. Digital services are communication tools at their core.³⁰ The ideas and expressions they transmit cannot be treated as pollution; their human authors cannot be analogised to disease-causing bacteria.

Communication is at the core of political liberties. It is the bedrock of our liberal democracies. The ideal level of ‘safety’, thus, cannot mean the same thing for communication as it does for food and chemicals. As noted by Graham Smith, speech is not a tripping hazard.³¹ People’s dignity and freedoms are deeply implicated when regulators are tasked to keep digital communications ‘safe’ by doing the balancing without any limitations other than proportionality. Safety is a good starting point, but as explained in Chapters 1 and 15, it must be continuously balanced with trustworthiness.

To be sure, the regulation of digital services can learn a lot from areas such as food safety if the right parallels are made. European food safety rules equally tackle a problem that is dynamic, global, opaque, and subject to complicated supply chains.³²

²⁶ *ibid* 59; Wolfgang Schulz and Thorsten Held, *Regulated Self-Regulation as a Form of Modern Government: An Analysis of Case Studies from Media and Telecommunications Law* (University of Luton Press 2004) 63, fn 15.

²⁷ Bridget Hutter, *The Attractions of Risk-Based Regulation: Accounting for the Emergence of Risk Ideas in Regulation* (Centre for Analysis of Risk and Regulation 2005) <https://web.actuaries.ie/sites/default/files/erm-resources/205_The_attractions_of_risk_based_regulation_accounting_for_the_emergence_of_risk_ideas_in_regulation.pdf> accessed 5 September 2023; Henry Rothstein and others, ‘The Risks of Risk-Based Regulation: Insights from the Environmental Policy Domain’ (2006) 32 *Environment International* 1056; Robert Baldwin and Julia Black, ‘Driving Priorities in Risk-Based Regulation: What’s the Problem?’ (2016) 43(4) *Journal of Law and Society* 565.

²⁸ Woods and Perrin (n 12). See the UK’s Online Safety Act 2023, <<https://www.legislation.gov.uk/ukpga/2023/50/enacted>> accessed 19 December 2023.

²⁹ This is visible also from the text of the proposed bill that omitted the definition of the notion of harm and empowered the regulator to do the full balancing, see <<https://carnegieuktrust.org.uk/publications/draft-online-harm-bill/>> (2019) accessed 19 December 2023.

³⁰ To understand how they profoundly changed social movements, see Zeynep Tufekci, *Twitter and Tear Gas: The Power and Fragility of Networked Protest* (Yale University Press 2017).

³¹ Graham Smith, ‘Speech is Not a Tripping Hazard—Response to the Online Harms White Paper’ (28 June 2019) <<https://www.cyberleagle.com/2019/06/speech-is-not-tripping-hazard-response.html>> accessed 10 August 2023.

³² Lang (n 1) 37.

Food products and digital services are both inseparable parts of our lives, culture, and identity. Constant innovation is key to business success in both areas³³ and businesses must always navigate the tension between profit and safety.

Food and digital products even face similar dilemmas: food businesses try to capture our eating habits, and technology firms our attention. Their profits increase the more people consume. Overconsuming each product can lead to obesity and loneliness, respectively, thus reducing the quality of life and affecting our well-being.³⁴ Overconsumption imposes externalities on the rest of society in the form of increased health care and other costs. As pointed out by Lang, '[u]nsafe food is quick to show results; malconsumption's illhealth effect may take decades and not be product-specific.'³⁵ Similarly, many challenges linked to digital services, such as health disinformation, radicalisation, or propaganda, can result from long-term consumption and are not necessarily product-specific.

Food policy also puts some of our online regulatory instincts in a different light. While very few would likely agree that obesity should be treated by rationing people's access to unhealthy food, in the digital realm, such proposals are constantly made about many types of 'unhealthy' information; while very few would likely agree that unhealthy food should be entirely banned from regular supermarkets because it is not 'safe', in the digital realm, the arguments about banning legal expression as 'unsafe' are not a rarity. While overt paternalism over people's affairs is easy to identify when we regulate food, it is much more hidden in discussions of digital content policy.

Thus, a risk-based approach may be a viable approach for digital services but it must account for the specifics of digital communications; namely, whenever it regulates the risks posed by digital communications, it regulates the people and crowds using such services, whether intentionally or not.

13.3 The Regulator's Powers

Francis Haugen, the Facebook whistle-blower, was very supportive of the DSA. During the legislative process, she argued that:

The right answer to this emergency is new rules and standards. The EU's Digital Services Act has huge potential. It does not try to 'delete' the problem with content

³³ Michael T Roberts, *Food Law in the United States* (CUP 2016) 3 (the history of food safety regulations is 'really history of discovering and inventions enabling regulatory responses to emerging safety problems').

³⁴ On the negative impact of overconsumption of digital products, see Amy Østertun Geirdal and others, 'Mental Health, Quality of Life, Wellbeing, Loneliness and Use of Social Media in a Time of Social Distancing During the COVID-19 Outbreak. A Cross-Country Comparative Study' (2021) 30(2) *Journal of Mental Health* (Abingdon, England) 148; Melissa G Hunt and others, 'No More FOMO: Limiting Social Media Decreases Loneliness and Depression' (2018) 37(10) *Journal of Social and Clinical Psychology* 751; Maartje Boer and others, 'Attention Deficit Hyperactivity Disorder-Symptoms, Social Media Use Intensity, and Social Media Use Problems in Adolescents: Investigating Directionality' (2020) 91(4) *Child Development* e853.

³⁵ Lang (n 1) 37.

regulations. It takes a content-neutral approach to address the systemic risks and harms of the overall business model.³⁶

As Chapter 15 explains, it is far from clear that the DSA firmly adopts a content-neutral approach as part of a risk-based approach. The breadth of the DSA's regulatory approach seems to be in the eye of the beholder. The DSA's true nature is partly hidden in a yet untested regime for general risk management.

Clarity will be increasingly demanded. Several days before the DSA went into full effect for the VLOPs and VLOSEs, an Irish journalist asked the Irish Media Minister about the reliance on the DSA to solve the problem of misinformation: 'Isn't it dangerous for democracy that powerful state institutions will get to decide what is and is not true?'³⁷ The Minister had no answers for the journalist.

The public needs proper answers to what the regulators will do under the DSA to dispel any doubts about the legitimacy of regulation. Without a clear stance, the confusion will only mount. Arguably, the Commission's rhetoric is somewhat confusing.

On the one hand, the Commission's Vice-President Jourová on the occasion of 2022 Václav Havel European Dialogues in Prague shortly before the DSA's adoption firmly argued that:³⁸

But we also see that digitalisation, the social media, has been massively used to spread and amplify disinformation. It is increasingly difficult to see who is saying what and why. Yet, new technologies should be tools for emancipation, not for manipulation. When I say this, some people argue, or rather shout: 'Jourová—you want to censor the Internet!' So, let me repeat: Freedom of speech is the most cherished value of democracy. I said many times: 'I don't want to see a Ministry of Truth.' To bring in Václav Havel again: 'Follow the man who seeks the truth; run from the man who has found it.' This is why our actions don't focus on assessing the content.

On the other hand, only a few months after the law was adopted, Commissioner Breton chastised companies in a series of letters asking them to 'spare no effort against disinformation'.³⁹ Moreover, around the same time, an independent study contracted by the European Commission looking at Russian disinformation in Europe concluded

³⁶ European Parliament Multimedia Centre, 'Public Hearing on Whistle-blower's Testimony on the Negative Impact of Big Tech Companies' Products on User: Opening Statement by Frances Haugen' (8 November 2021) <https://multimedia.europarl.europa.eu/video/public-hearing-on-whistle-blowers-testimony-on-the-negative-impact-of-big-tech-companies-products-on-user-frances-haugen-opening-statements_I213108> accessed 5 September 2023.

³⁷ Gript Media, 'Recording of Ireland's Media Minister Catherine Martin's Press Conference on 25 August 2023' (Twitter, 25 August 2023) Question by Ben Scallen about the EU's DSA <<https://twitter.com/griptmedia/status/1695108011767767114>> accessed 5 September 2023.

³⁸ European Commission, 'Speech by Vice-President Jourová on the Occasion of 2022 Václav Havel European Dialogues' (10 May 2022) <https://ec.europa.eu/commission/presscorner/detail/en/SPEECH_22_2983> accessed 19 December 2023.

³⁹ Foo Yun Chee, 'EU's Breton tells TikTok CEO to "Spare No Effort" Against Disinformation' (6 November 2023) <<https://www.reuters.com/technology/eus-breton-tells-tiktok-ceo-ramp-up-efforts-against-disinformation-2023-11-06/>> accessed 19 December 2023.

that Big Tech did not do enough to counter Russian disinformation to satisfy the DSA's risk-based approach.⁴⁰ One of the arguments was that the sanctions on Kremlin-backed actors, such as official Russian media, were circumvented through a network of Kremlin-aligned non-state actors who more than made up for the loss by parroting its narratives.⁴¹ The failure to contain the spread of pro-Kremlin narratives, according to the report, meant that systemic risk was not properly mitigated. The report borrows from the UN Rabat Plan⁴² to outline what constitutes harm⁴³ and argues for heightened interventions against Kremlin-aligned actors, even though it does not call for the removal of all their content.⁴⁴

The obvious problem in the last two instances is that only some subset of such disinformation is unlawful.⁴⁵ Thus, a metric that asks companies to suppress such content to 'acceptable' levels in general, regardless of establishing illegality, also suppresses views from individuals who happen to express such disinformation views *legally*. While applying an approach such as that implied by the 2023 Disinformation Study should still mean that the outcomes are generally aligned with regional and international human rights limits,⁴⁶ the key problem is the lack of *legality* of such restrictions. The legality question is a question of the rule of law. It speaks to the question of who makes the rules that govern what can be said, not whether those rules are proportionate.

Thus, declaring that the DSA's risk management approach is clearly content-neutral is premature.⁴⁷ The European Commission will have to build its approach brick-by-brick in years to come.

Depending on what powers are ascribed to the Commission as the sole enforcement of general risk management, I distinguish two potential conceptions of risk management: (a) full risk management and (b) limited risk management. In Chapter 15, I argue that the DSA is a *limited risk management* regime, meaning that the regulator does not have the power to dictate contents-specific rules.

In practice, this means that unlawful Russian propaganda can be addressed by any proportionate means, but lawful pro-Russian propaganda can be addressed only by content-neutral measures imposed on how fast *any* information travels through the

⁴⁰ DG-CONNECT (EU Commission), *DSA: Application of the Risk Management Framework to Russian Disinformation Campaigns* (EU Publications Office 2023) <<https://data.europa.eu/doi/10.2759/764631>> accessed 5 September 2023.

⁴¹ *ibid* 40, 44 (on policies of companies that enabled the circumvention).

⁴² UN Human Rights Council Resolution 16/18 and the Rabat Plan of Action clarified the relationship of arts 19 and 20(2) of International Covenant on Civil and Political Rights and set out practical guidance to clarify the obligations of states under art 20(2), Office of the United Nations High Commissioner for Human Rights, 'OHCHR and Freedom of Expression vs Incitement to Hatred: The Rabat Plan of Action' (2012) (*OHCHR*) <<https://www.ohchr.org/en/freedom-of-expression>> accessed 5 September 2023.

⁴³ DG-CONNECT (EU Commission) (n 40) 16.

⁴⁴ *ibid* 47, 25 (for definition).

⁴⁵ On the national approaches to the lawfulness of disinformation, Ronan Ó Fathaigh, Natali Helberger, and Naomi Appelman, 'The Perils of Legally Defining Disinformation' (2021) 10(4) *Internet Policy Review* <<https://policyreview.info/articles/analysis/perils-legally-defining-disinformation>> accessed 19 December 2023.

⁴⁶ ECtHR borrows from the Rabat plan in its case law, see for instance, *Lenis v Greece* App no 47833/20 (ECtHR, 31 August 2023).

⁴⁷ Also there are different views in the literature: Sharon Galantino, 'How Will the EU Digital Services Act Affect the Regulation of Disinformation?' (2023) 20(1) *SCRIP* Ted 89 (criticising that the DSA is likely to adopt the Code of Practice's broad definition with all the consequences for lawful disinformation).

service, by promoting user choice to view *any* trusted content, and by curbing *any* in-authentic herd behaviour.

My proposed red line⁴⁸ is grounded in the principle of the rule of law and separation of powers under the DSA's architecture, where legislatures decide what constitutes illegal content. Because digital services are communication tools, in Chapter 15, I argue that the risk-based approach must further individual agency whenever user choice is legitimate. Thus, one of the key principles should be that *if* a risk is linked to a category of content that is perfectly legal, the empowerment of users and groups should be prioritised. If the empowerment strategy fails to address the overall risks, parliaments can always redefine what is illegal.

In contrast, some may view the DSA as a *full risk management regime* where relevant risks posed by lawful content are sufficient reasons for the regulator to expand our notions of illegality ad hoc.⁴⁹ In this potential view, the regulator becomes a surrogate legislature for digital communications and can de facto expand what constitutes illegal content for the purposes of the DSA.

I seem to be in good company⁵⁰ in believing that this is not possible; however, that is no guarantee of anything until the Court of Justice of the European Union decides on the issue. Thus, at the time of writing, no one knows how the European Commission will try to conceptualise its own enforcement powers. The first opened infringement case against Twitter suggests that the Commission is mindful of the limits described above because lawful disinformation is only addressed as a potential failure of fact-checking and not suppression.⁵¹

13.4 Precautionary Principle and Rule of Law

For the same reasons, I also argue against borrowing the precautionary principle from other areas of risk-based regulation. Wood and Perrin envisage regulators' ability to limit 'harmful behaviour'⁵² prophylactically when regulators see good reasons to do so,⁵³ invoking the precautionary principle for their version of online safety regulation. The same principle underlies food safety, regulation of chemicals, and many other areas.⁵⁴ It posits that intervention must be taken under some circumstances even *before*

⁴⁸ See explicitly applying this to disinformation, Martin Husovec, 'The Digital Service Act's Red Line: What the Commission Can and Cannot Do About Disinformation' (forthcoming, 2024) *Journal of Media Law*.

⁴⁹ Martin Husovec, 'Rising Above Liability: The Digital Services Act as a Blueprint for the Second Generation of Global Internet Rules' (2023) *Berkeley Technology Law Journal* (forthcoming). https://btjl.org/wp-content/uploads/2024/01/0002_38-3_Husovec.pdf

⁵⁰ Saulius Kaleda, Paul-John Loewenthal, and Folkert Wilman, *Digital Services Act: Commentary* (forthcoming, OUP 2024) § 35 (C:10) noting that 'the obligation to take risk mitigation measures cannot, in principle, be a way to force providers to contractually prohibit certain information that does not qualify as illegal content'.

⁵¹ European Commission, 'Commission Opens Formal Proceedings Against X Under the Digital Services Act' (18 December 2023) <https://ec.europa.eu/commission/presscorner/detail/en/ip_23_6709> accessed 19 December 2023.

⁵² Woods and Perrin (n 12) 48.

⁵³ *ibid* 11.

⁵⁴ Art 191 of the TFEU. The concept of the precautionary principle was first set out in Commission, 'Communication from the Commission on the Precautionary Principle' COM(2000) 1 final. Generally, Marko

a complete scientific proof of risk. For instance, Article 7 of the General Food Law Regulation defines it as follows:

In specific circumstances where, following an assessment of available information, the possibility of harmful effects on health is identified but scientific uncertainty persists, provisional risk management measures necessary to ensure the high level of health protection chosen in the Community may be adopted, pending further scientific information for a more comprehensive risk assessment.⁵⁵

The European Commission in 2000 Communication explains the principle as follows:

Recourse to the precautionary principle presupposes that potentially dangerous effects deriving from a phenomenon, product or process have been identified, and that scientific evaluation does not allow the risk to be determined with sufficient certainty. The implementation of an approach based on the precautionary principle should start with a scientific evaluation, as complete as possible, and where possible, identifying at each stage the degree of scientific uncertainty.⁵⁶

The reliance on the precautionary principle is another one of the areas where analogies to food safety are once again highly problematic. As cautioned by the European Commission itself:

Decision-makers need to be aware of the degree of uncertainty attached to the results of the evaluation of the available scientific information. Judging what is an ‘acceptable’ level of risk for society is an eminently political responsibility.⁵⁷

If the above sentence rings true in the area as detached from political liberties as chemicals, it must have stronger resonance when the principle is invoked to shape the boundaries of how people can communicate with each other. Adopting the precautionary principle to online communications can easily slip into giving regulators broad, even if temporary, political powers to regulate speech. In liberal democracies, such power should rest with parliaments, which are usually supervised by constitutional courts. Since under the DSA, the European Commission was not given any formal rule-making powers that could be based on the use of the precautionary principle, it must be assumed that the exercise of authority with the content-regulating effect would be

Ahteensuu and Per Sandin, ‘The Precautionary Principle’ in Sabine Roeser and others (eds), *Handbook of Risk Theory* (Springer Netherlands 2012).

⁵⁵ European Parliament and Council Regulation (EC) No 178/2002 laying down the general principles and requirements of food law, establishing the European Food Safety Authority and laying down procedures in matters of food safety [2002] OJ L 31/1 (General Food Law Regulation).

⁵⁶ Commission (n 54) 2.

⁵⁷ *ibid* 3.

ultra vires. Thus, declaring, de facto or de jure, certain content to be illegal is beyond the mandate.

We should be reminded of Article 1(1) of the DSA, which states that the main goal of the law is to create ‘a safe, predictable and trusted online environment’. In policy debates, there is a tendency to emphasise safety. And often it is for a good reason. Safety from illegal content fosters trust in the ecosystem and thus improves the freedom of individuals to express themselves. For instance, citizens who are safe from harassment and hate speech are more likely to express their views publicly. Safety is rightly the dominant paradigm for the protection of children, or protection of adults from illegal content.

But safety can also undermine trust. Let me illustrate this with the example of suicide reporting. Social science research shows that sensationalist coverage of suicides can lead to copycat behaviour among vulnerable individuals.⁵⁸ Thus, in many countries, the media are encouraged to follow guidance about how to report on the suicides, which can range from not mentioning them at all to not reporting on methods and avoiding any sensationalism. There is no doubt that such interventions can be justified by the safety of vulnerable individuals. However, as countries that have tried to legislate on the issue have learned, such as New Zealand,⁵⁹ overbroad rules can become counterproductive because individuals feel under-informed. Such suppression can undermine trust.

Returning to the analogy with food safety, one can say that what is acceptable as the legal basis for restricting beef distribution along the food supply chain is not automatically sufficient for restricting content online. Online safety needs a different regulatory recipe. Beef online is not beef offline. As explained by the European Agency for Fundamental Rights report, ‘[f]reedom of expression is such an important value that its restriction should always receive the democratic legitimacy only derived from parliamentary debate and elections.’⁶⁰ The *principle of legality*, namely that state interferences are based on a law of sufficient quality, demands that many more details be laid down by the parliaments. Very general formulations cannot serve as a basis for restrictions on freedom of expression.⁶¹ This is especially the case when such restrictions are imposed without public scrutiny. According to the European Court of Human Rights (ECtHR):

⁵⁸ See, for instance, Thomas Niederkrotenthaler and others, ‘Association Between Suicide Reporting in the Media and Suicide: Systematic Review and Meta-analysis’ (2020) *British Medical Journal* 368, <<https://www.bmj.com/content/368/bmj.m575.full>> accessed 19 December 2023.

⁵⁹ S 71 of the New Zealand’s Coroners Act 2006, <<https://www.legislation.govt.nz/act/public/2006/0038/latest/whole.html#DLM377532>> accessed 19 December 2023. For the analysis, James Hollings, ‘Reporting Suicide in New Zealand: Time to End Censorship’ (2023) 19(2) *Pacific Journalism Review*: Te Koako, 136–55.

⁶⁰ Dominika Bychawska-Siniarska, ‘Protecting the Right to Freedom of Expression Under the European Convention On Human Rights’ (Council of Europe 2017) <<https://rm.coe.int/handbook-freedom-of-expression-eng/1680732814>> accessed 5 September 2023.

⁶¹ *Petra v Romania* App no 27273/95 (ECtHR, 23 September 1998), para 47 (‘they go no further than indicating in a very general way the right of convicted prisoners to receive and send mail and they give prison governors the power to keep any letter or any newspaper, book or magazine “unsuited to the process of rehabilitating a prisoner”’).

where the implementation of the law consists of secret measures, not open to scrutiny by the individuals concerned or by the public at large, the law itself, as opposed to the accompanying administrative practice, must indicate the scope of any discretion conferred on the competent authority with sufficient clarity, having regard to the legitimate aim of the measure in question, to give individual adequate protection against arbitrary interference.⁶²

This is not to say that regulators cannot act upon imminent threats. The ECtHR recognises that authorities are allowed to intervene against protesters or speakers when there is ‘a clear and imminent danger’.⁶³ However, due to the nature of the annual risk cycle, the imminence of risks are usually considered according to the society’s sense of urgency, and not in the sense of urgency in specific situations. In fact, the DSA’s incorporation of a crisis response mechanism in Article 36 demonstrates that the Commission’s ability to swiftly act in crises required a specific channel to be possible. Only in special circumstances, the Commission can ‘require’ VLOPs/VLOSEs to ‘identify and apply specific, effective and proportionate measures ... to prevent, eliminate or limit any such contribution to the serious threat’. And even then, as argued above, the legality principle limits interventions in case the risk emanates from lawful content.

13.5 The Bigger Cycle of Risk Mitigation

My proposed reading does not mean abdicating the protective goals of the DSA. It means recognising that where the DSA hits its limits, the Member States’ parliaments must be engaged again. The risk mitigation cycle explicitly laid out by the DSA’s provisions is not the full picture. Implicitly, the bigger risk mitigation cycle envisaged by the DSA also involves parliaments that can change the underlying content rules subject to established democratic procedures. The bigger risk mitigation cycle is represented in Figure 13.2.

The DSA consciously distinguishes between legal and illegal content. The latter category is defined by national or European rules adopted by legislatures. Content rules across the EU can differ, and even conflict. They can be vague and unclear. However, to the extent that they are proportionate, they are backed by the legitimacy of legislatures.

The legislatures can tailor their responses to protect the rights of others, for instance, by qualifying the prohibitions. They can prohibit in one place what is legal in another. For instance, the Audiovisual Media Services Directive (AVMSD) prohibits video-sharing providers from allowing minors to ‘normally’ access ‘harmful content’ that may ‘impair the physical, mental or moral development of minors’.⁶⁴ Yet, no such prohibition usually applies to kiosks or shopping malls. But that does not mean that the

⁶² *Leander v Sweden* App no 9248/81 (ECtHR, 26 March 1987), para 51.

⁶³ *Primov and others v Russia* App no 17391/06 (ECtHR, 12 June 2014); *Gül and others v Turkey* Application no 4870/02 (ECtHR, 8 June 2010), para 42.

⁶⁴ AVMSD, art 6a.

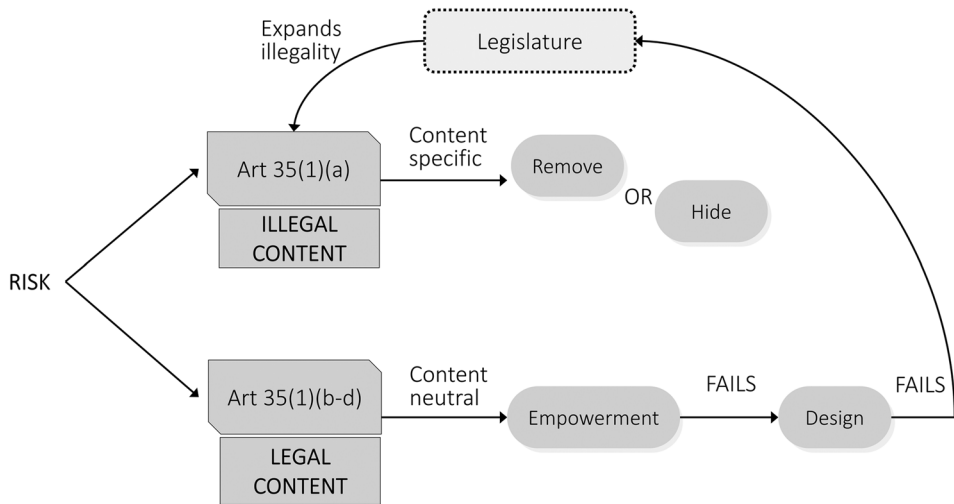


Figure 13.2 The DSA's bigger cycle of risk mitigation

rule cannot be justified. On the contrary, such different treatment is arguably a way of tailoring the applicability of prohibitions to reduce exposure to harm. Reducing ease of access is a strategy that has been used for years.⁶⁵

For instance, many countries regulate what food schools can offer to children even though the same children can buy any products once they leave school premises.⁶⁶ Similarly, we ban tobacco advertising, selling of cigarettes to children, heavily tax products, and regulate packaging, but still allow them to be sold to a part of the public despite scientific consensus about their harms and social costs.⁶⁷ In the digital realm, we ask search engines to delist some personal data, even though the same information can perfectly legally stay on the websites of newspapers.⁶⁸ Thus, prohibiting the same conduct or expression in one context (eg in schools), while allowing it in another (eg in public spaces), is not that unusual. It can be a proportionate way of restricting freedoms.

If the regulators under a risk-based approach like the DSA identify risks stemming from lawful expressions that should be contained, and no amount of empowerment or content-neutral redesign helps, they can gather the evidence and inform the parliamentarians. The DSA's data access tools can facilitate the identification and documentation of risks and thus play an important role in the pre-legislative debate.

However, the question is ultimately political. As such, it is then up to the public debate to not only determine whether something should be prohibited as illegal content but also how and for whom it should be prohibited. For instance, disinformation

⁶⁵ Consider, for instance, the UK's Obscene Publications Act of 1857 which criminalised the sale and distribution of obscene material but not its possession.

⁶⁶ Patricia Lucas and others, 'Preschool and School Meal Policies: An Overview of What We Know about Regulation, Implementation, and Impact on Diet in the UK, Sweden, and Australia' (2017) 9(7) *Nutrients* 736.

⁶⁷ Michael K Cummings, 'Programs and Policies to Discourage the Use of Tobacco Products' (2002) 21(48) *Oncogene* 7349.

⁶⁸ Case C-131/12 *Google Spain SL and Google Inc v AEPD and Mario Costeja González* ECLI:EU:C:2014:317.

causing eating disorders might be prohibited as a class of content only for children, on some platforms, if distributed in large amounts, in advertising, or when used in carrying out a business activity. These tailoring options soften the impact on freedom of expression. The legislature's political decision is then open to public scrutiny and eventually constitutional scrutiny by courts. If such laws are adopted, the DSA apparatus lends them more enforcement powers.

However, regulatory expectations should be aligned with the justification for the intervention. No one expects that banning smoking on TV will magically cause people to stop smoking. It is merely a mitigation strategy.

Many risks observed on digital services are only the visible digital tip of the iceberg of larger societal problems lurking in the offline world. By definition, digital policy often cannot 'solve' age-old problems that pre-date such technology. Terrorism cannot be 'solved' by getting rid of all terrorist content from social media. Its removal might help to reduce the radicalisation of youth, but it will not 'solve' terrorism. Similarly, no perfect enforcement of hate speech rules will eradicate racist thinking. Thus, the expectations of the interventions should be commensurate with the fact that digital services only reflect the tip of the iceberg.

The DSA's statutory language appears realistic. It speaks of 'risk mitigation' across the recitals and in the all-important Article 35, which asks VLOPs and VLOSEs to 'put in place reasonable, proportionate and effective mitigation measures, tailored to the specific systemic risks.' The regulation does not talk about the eradication of risks. Instead, it emphasises the special place of freedom of expression (Recitals 86 and 90) as the brake on over-enforcement. But as I noted earlier, the big question for the future is whether the regulators will remain equally measured when enforcing the law.

The DSA as a Co-regulatory System

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20.1 Introduction

The headline story behind the Digital Services Act (DSA) is that it ushers an unregulated industry into a new regulatory reality. This story is undoubtedly true. Many mid-sized companies will face compliance costs that they did not have before. As of August 2024, Big Tech (comprising very large online platforms and search engines (VLOPs/VLOSEs)) has become subject to a seemingly never-ending regulatory dialogue with the European Commission about risk management on their platforms.

However, the DSA creates only a regulatory baseline. Its full harmonisation does not imply that the DSA rules impose the only golden standard of due diligence that cannot be exceeded in practice. The 'DSA-plus' measures are almost by definition expected to accompany the DSA in the years to come. To complement Big Tech's open-ended risk management tasks, the DSA builds a separate co-regulatory arm to inform its scrutiny.

For a regulator in such a dynamic and quickly changing landscape as digital services, there is little choice but to give some agency to providers to satisfy public policy goals. Different societal challenges have different levels of regulatory maturity, and regulators usually know less about potential solutions than the industry. The DSA architecture de facto reroutes society's effort to co-regulation through a mixture of experimentation, industry-consensus building, and, eventually, standardisation.

The story of the internet is largely a story of self-regulation. The global network is based on open standards, such as TCP/IP, HTML, URL or HTTP, produced by non-profit Standard Developing Organisations (SDOs). IETF and W3C, the two most important internet SDOs, evolved out of the original community of academic and governmental developers of the internet.¹ As explained

¹ For more about their governance, Justus Baron and others, *Making the Rules: The Governance of Standard Development Organizations and Their Policies on Intellectual Property Rights* (Nikolaus Thumm ed, EU Publications Office 2019) 60 <<https://data.europa.eu/doi/10.2760/48536>> accessed 17 September 2023.

by Marsden, the internet has always been regulated in a polycentric regulatory model.² He explains that:

The route to this intermingled co-regulatory environment has also been somewhat novel in that it owes as much to bottom-up as top-down co-regulation. Bottom-up can be seen in many standards organizations, content (especially print journalism) and technical regulatory bodies, and top-down in other more traditional standards bodies, and regulatory arrangements inherited from telecoms and broadcasting inheritances. The direction of travel is in almost all cases towards co-regulation, no matter what the basis from which each arrangement starts.³

Technical standards have always been seen as a key component in building the European Union (EU) internal market.⁴ In 1985, shortly before the adoption of the Single European Act (1986), the Council adopted a resolution starting a new approach to standardisation.⁵ The New Approach created opportunities for companies to join in the standards development activities of the European Standard Organisations (ESOs), such as CEN/CENELEC and ETSI, with the help of traditional national standards bodies. In 2012, the EU consolidated the rules through an EU Regulation.⁶ The Standardisation Regulation imposes obligations upon the ESOs and national standard bodies with respect to their governance, including transparency (Articles 3–4), stakeholder participation (Articles 5–6, and 16), and participation of public authorities (Article 7). The Regulation also creates an elaborate system for standardisation agenda setting (Articles 8, 10) and financing European standard development (Article 15).

The DSA thus does not enter an entirely new space. The EU law has several legal instruments that include typical ‘encouragements’⁷ that result in self-regulation.⁸ For instance, in the context of consumer law, traders are encouraged to develop codes to comply with prohibitions of misleading and aggressive practices.⁹ Under Article 40 General Data Protection Regulation (GDPR), associations, and other representative

² Christopher T Marsden, *Internet Co-Regulation: European Law, Regulatory Governance and Legitimacy in Cyberspace* (CUP 2011) ch 8.

³ *ibid.*

⁴ Baron and others (n 1).

⁵ Council Resolution of 7 May 1985 on a new approach to technical harmonisation and standards [1985] OJ C 136/1.

⁶ European Parliament and Council Regulation (EU) No 1025/2012 on European standardisation, amending Council Directives 89/686/EEC and 93/15/EEC and Directives 94/9/EC, 94/25/EC, 95/16/EC, 97/23/EC, 98/34/EC, 2004/22/EC, 2007/23/EC, 2009/23/EC, and 2009/105/EC and repealing Council Decision 87/95/EEC and Decision No 1673/2006/EC [2012] OJ L316/12 (Standardisation Regulation).

⁷ These include art 40 GDPR and arts 40 (standards) and 69 (Codes of Conduct) of the Proposed AI Act (Commission, ‘Proposal for a Regulation of the European Parliament and of the Council Laying down Harmonised Rules on Artificial Intelligence (AI Act) and Amending Certain Union Legislative Acts’ COM(2021) 206 final).

⁸ LAJ Senden, ‘Soft Law, Self-Regulation and Co-Regulation in European Law: Where do They Meet?’ (2005) 9(1) *Electronic Journal of Comparative Law* 1.

⁹ European Parliament and Council Directive 2005/29/EC concerning unfair business-to-consumer commercial practices in the internal market [2005] OJ L149/22 as amended by Directive (EU) 2019/2161, art 2(f) (Unfair Commercial Practices Directive).

bodies can initiate the creation of codes ‘to contribute to the proper application’ of data protection law. The DSA goes a step further by embedding some of the Codes of Conduct into its enforcement system, creating clear expectations for Big Tech to join and participate. The result is a clear push toward co-regulation.

The DSA’s mechanism for Codes of Conduct improves the pre-DSA situation. Prior to the DSA, the EU law had a framework for standardisation outlined above, but not for other private ordering. The process was entirely political and the chances of public participation depended on how loudly one could scream. The previous initiatives of the European Commission include the Memorandum of Understanding on Counterfeiting (2011),¹⁰ and Hate Speech Code of Conduct (2016; 2022),¹¹ the Code of Conduct on Disinformation (2018; 2022),¹² and initiatives to protect minors (2022).¹³

The DSA gives the process more structure. Although the framework is still far from ideal, it gives the stakeholders more predictability. At the time of writing, the Commission started convening the first Code of Conduct that might become an official DSA Code of Conduct—the Age-Appropriate Design Code.¹⁴ Another candidate is the existing Disinformation Code of Conduct.¹⁵ The DSA Codes of Conduct, along with standards, represent the new generation of technology regulation in Europe.¹⁶ In this new age, the EU does not shy away from steering and funding private ordering, including through SDOs, such as CEN/CENELEC. The most prominent (and controversial) example of this trajectory is the proposed Artificial Intelligence Act (AI Act), which relies heavily on harmonised standards.¹⁷

20.2 Codes of Conduct as European Benchmarks (Articles 45–48)

The DSA invites stakeholders to formulate more detailed and specific rules through Codes of Conduct. Next to a general provision in Article 45, it also singles out

¹⁰ European Commission, ‘Memorandum of Understanding on the Sale of Counterfeit Goods on the Internet’ <https://single-market-economy.ec.europa.eu/industry/strategy/intellectual-property/enforcement-intellectual-property-rights/memorandum-understanding-sale-counterfeit-goods-internet_en> accessed 6 September 2023.

¹¹ European Commission, ‘The EU Code of Conduct on Countering Illegal Hate Speech Online’ <https://commission.europa.eu/strategy-and-policy/policies/justice-and-fundamental-rights/combating-discrimination/racism-and-xenophobia/eu-code-conduct-countering-illegal-hate-speech-online_en> accessed 6 September 2023.

¹² European Commission, ‘The 2022 Code of Practice on Disinformation’ (*Shaping Europe’s digital future*, 31 July 2023) <<https://digital-strategy.ec.europa.eu/en/policies/code-practice-disinformation>> accessed 18 September 2023.

¹³ For the Better Internet for Kids + strategy, see: European Commission, ‘Special Group on the EU Code of Conduct on Age-Appropriate Design’ (*Shaping Europe’s digital future*) <<https://digital-strategy.ec.europa.eu/en/policies/group-age-appropriate-design>> accessed 18 September 2023.

¹⁴ *ibid.*

¹⁵ European Commission, ‘2022 Strengthened Code of Practice on Disinformation’ (n 15) 2 (‘This Code of Practice aims to become a Code of Conduct under Article 35 of the DSA, after entry into force, regarding Very Large Online Platforms that sign up to its Commitments and Measures.’).

¹⁶ See a comprehensive report by Hans-W Micklitz, ‘The Role of Standards in Future EU Digital Policy Legislation’ (Report commissioned by ANEC and BEUC, 2023) <https://www.beuc.eu/sites/default/files/publications/BEUC-X-2023-096_The_Role_of_Standards_in_Future_EU_Digital_Policy_Legislation.pdf> accessed 18 September 2023.

¹⁷ Commission, ‘COM(2021) 206 Final’ (n 7) art 40.

advertising (Article 46), accessibility codes (Article 47), and crisis protocols (Article 48). While many other private ordering schemes will exist, the benefit of official ‘DSA-recognised’ Codes of Conduct is the regulatory structure into which they are embedded. Most of the DSA references to Codes are sprinkled around the special obligations of VLOPs and VLOSEs, which shows that the focus is on the regulation of Big Tech.¹⁸

20.2.1 Creation of the Codes

The creation of Codes begins with the DSA’s mandate in Article 45(1) that the European Commission and the Board ‘shall encourage and facilitate the drawing up of voluntary codes of conduct at Union level to contribute to the proper application of this Regulation’. Such documents shall take into account ‘the specific challenges of tackling different types of illegal content and systemic risks’. An official DSA Code of Conduct benefits from the brokering undertaken by the European Commission (Article 45(2)), as well as regular monitoring and evaluation, including publication of the results of such exercises (Article 45(4)). Thus, any new DSA Code of Conduct is a new responsibility for the European Commission and the Board. The European Commission *can* initiate a DSA Code of Conduct where significant systemic risks emerge and concern ‘several’ VLOPs or VLOSEs (Article 45(2)).

If it decides to initiate the process, the Commission invites the concerned VLOPs, VLOSEs, other providers of intermediary services, relevant stakeholders, civil society organisations, and competent authorities to join the process (Article 45(2)). Thus, in the absence of VLOPs or VLOSEs in the sector, the DSA Codes arguably cannot be initiated. The only exceptions are advertising and accessibility codes (Articles 46 and 47) that do not require the presence of VLOPs/VLOSEs. The logic behind this is probably that since the Codes have their primary regulatory relevance directed towards very large players, initiating such Codes in their absence makes no sense. Similarly, if there are not at least two such players, there is no point in discussing what constitutes the best ‘industry’ practice. The Codes of Conduct are thus clearly conceived as industry-wide tools and not only tools for interested players. While the DSA does not specify the threshold for comparability of services that should be included in each Code, arguably, they usually need to constitute somewhat *similar* types of services.

Thus, for instance, if the age-appropriate design code is set up for marketplaces, social media, or app stores, it can hardly apply also to online maps or encyclopaedias, as the latter two only have one VLOP each (Google Maps, and Wikipedia). While the Commission could argue that these platforms are equally ‘concerned’ by rules for social media, based on the unique nature of maps or encyclopaedias, I would argue that the

¹⁸ For an overview, Rachel Griffin and Carl Vander Maelen, ‘Codes of Conduct in the Digital Services Act: Exploring the Opportunities and Challenges’ [2023] Draft paper, Law, AI & Regulation Conference, Erasmus University, Rotterdam <<https://papers.ssrn.com/abstract=4463874>> accessed 18 September 2023.

respective risk profiles differ substantially to be comparable. Thus, the unique position of Wikipedia, for instance, gives it a reasonable excuse to stay out of many Codes of Conduct.

Naturally, *other* private commitments of companies remain possible even after the DSA. All non-EU-specific codes or purely national codes will fall into this category. Such commitments do not qualify as 'official' DSA Codes of Conduct under Article 45 with all the oversight structures. This makes sense given that the monitoring of the official Codes is entrusted to the European Commission and Board, which have limited resources, and often no interest in monitoring purely local matters.

Recitals of the DSA mention five relevant initiatives that could be brought into the scope of Article 45 in the coming years: (i) a Digital Decade for children and youth: the new European strategy for a better internet for kids (BIK+),¹⁹ (ii) the Product Safety Pledge,²⁰ (iii) the Memorandum of understanding on the sale of counterfeit goods on the internet,²¹ (iv) the Code of conduct on countering illegal hate speech online,²² and (v) the Code of Practice on Disinformation.²³ In Recital 104, it also mentions that another potential area for such initiatives concerns computational propaganda.

20.2.2 How binding are the Codes?

Companies will not usually be able to afford to refuse to join the Codes, and once they do, they gain extra explicit obligations for their risk management cycles. While failing to meet Codes of Conduct obligations does not constitute a direct violation of the DSA, it will reflect badly on their overall compliance for the next assessment cycle. Auditors, for instance, will have to note that providers are not fully compliant.

According to Recital 104, '[t]he refusal without proper explanations by a provider of an online platform or of an online search engine of the Commission's invitation to participate in the application of such a code of conduct could be taken into account, where relevant, when determining whether the online platform or the online search engine has infringed the obligations laid down by this Regulation'. At the same time, according to Recital 103, '[w]hile the implementation of codes of conduct should be measurable and subject to public oversight, this should not impair the voluntary nature of such codes and the freedom of interested parties to decide whether to participate'. The 'initiating or adjusting cooperation with other providers' is part of the expected risk mitigation measures (Article 35(1)(h)), which means that the provider would have to keep justifying why it is not participating even years later.

¹⁹ Commission, 'A Digital Decade for Children and Youth: The New European Strategy for a Better Internet for Kids (BIK+)' (Communication) COM(2022) 212 final.

²⁰ Commission, 'Product Safety Pledge' <https://commission.europa.eu/business-economy-euro/product-safety-and-requirements/product-safety/product-safety-pledge_en> accessed 19 September 2023.

²¹ European Commission, 'Memorandum of Understanding on the Sale of Counterfeit Goods on the Internet' (n 10).

²² European Commission, 'The EU Code of Conduct on Countering Illegal Hate Speech Online' (n 11).

²³ European Commission, '2022 Strengthened Code of Practice on Disinformation' (n 15).

What does this back and forth actually mean in practice? It is likely akin to one's mother-in-law's 'invitation' to help in the garden over the weekend. In theory, you can turn it down, but if you do not have a good reason to refuse, many things can go south. Despite proclamations about the voluntary nature, the pull to join is powerful. All incentives seem to be lined up against refusal. By refusing, providers look suspicious and uncooperative, have to keep explaining themselves, and even miss the opportunity to influence the wording of such Codes.

For *signatories*, compliance with the DSA Codes of Conduct becomes part of the risk management exercise. VLOP/VLOSE compliance officers even have it in their job description to monitor internal compliance 'with commitments made under the codes of conduct' (Article 41(3)(f)). The obligation, however, only applies to the DSA's general and advertising Codes of Conduct and Crisis Protocols. Thus, once a provider signs a Code of Conduct, the DSA imposes an obligation to monitor compliance. Finally, the auditors are also specifically tasked to review compliance with the DSA's general and advertising Codes of Conduct and Crisis Protocols (Article 37(1)(b)).

If the European Commission and the Board detect a '*systematic* failure to comply with the codes of conduct', they 'may invite the signatories' of such codes 'to take the necessary action' (Article 45(4)). Thus, it is obvious that a single violation in isolation means little. The regulator cannot simply base their findings of incompatibility on mere violation of the relevant Codes of Conduct. However, undeniably, such a situation *indicates* that VLOPS or VLOSEs might be falling short of their general obligation to manage risks according to Articles 34–35. If further instances or similar behaviour arises and is detected, the Codes of Conduct effectively flesh out the DSA's rules of risk management. This is because the general risk management obligations are worded very broadly, potentially accommodating a broad range of risk measures and areas.

The Codes of Conduct thus embed into the enforcement system an obligation on providers to *justify* why they did not join relevant Codes of Conduct, and if they did, why they did not fully comply with them. If they can present good reasons, they might be off the hook. However, in the absence of good reasons, providers refusing to join or comply raise suspicion about the sincerity of their efforts and immediately draw a target on their backs. The Commission should be, however, very cautious in always equating non-compliance with bad faith. As noted above, the key benefit of co-regulation is that it is less 'sticky' and allows stakeholders to renegotiate and swiftly update the outdated. If the Commission adopts a very uncompromising stance when companies can walk away from their commitments, or their parts, they might lose the benefits. To facilitate this, it might be worth outlining in the Codes specific instances where the Commission is willing to accept the justification of the providers, such as inefficiency or the outdated character of previously agreed rules. Obviously, companies could equally be expected to substantiate such claims.

For *everyone* else but VLOPs and VLOSEs, the compelling effects of the Codes of Conduct described above do not exist. This can create a problematic dynamic. Some signatories of Codes can be held accountable for their promises while others cannot, and are not even monitored on their behaviour. For instance, if a particular action of a

VLOP depends heavily on the creation of conditions by other players in the ecosystem (eg to implement a specific labelling system or produce some data sets), the VLOP might legitimately struggle to comply as the conditions for compliance were not created by others.

Online platforms other than VLOPs are in a special situation. They can be invited to become signatories, but they are not subject to special due diligence obligations. Thus, they do not need to worry about the annual regulatory dialogue about risk management. However, the courts can potentially take the Codes of Conduct into account when interpreting more open-ended provisions, such as those about dark patterns (Article 25), protection of minors (Article 28), design of interfaces (Article 16), and fair content moderation (Article 14).

Finally, Codes of Conduct are not binding upon the *European Commission, DSCs or courts*. As noted by Recital 104, compliance with them does not ‘in itself presume compliance with the DSA’. Thus, from the companies’ perspective, they hardly offer safe harbours. From the regulator’s perspective, they serve as a way to increase the benchmarks of the regulatory environment and key performance indicators (KPIs) without changing the law.

That being said, it is clear that establishing violations of Articles 34–35 is much more difficult for the European Commission if it wants to exceed the obligations present in the Codes. In such cases, it must present evidence to substantiate the failures of *appropriate* interventions, which inevitably rely on how a company compares with others in the industry. Thus, for the European Commission, the Codes are a very convenient way to increase the bar without having to produce any factual evidence.

To conclude, Codes of Conduct are hardly ‘voluntary’, although they are certainly not binding in the same way as the typical DSA provisions. My test here is rather simple: if you cannot easily refuse being dragged into an exercise that will load you with extra work to do, and someone with the ability to fine you will even evaluate your work if you are deemed as not doing a good enough job, you are probably not doing it as a choice. Thus, while Recitals 88–89 conceptualise general Codes of Conduct as ‘self-regulatory measures’, the more accurate description would be co-regulatory measures for three main reasons: first, participation is not entirely voluntary for VLOPs and VLOSEs; second, regulators initiate, facilitate, and monitor compliance; and third, the agreed-upon standards of efforts constitute best-practice evidence provided by the industry itself that is likely to serve the regulator when enforcing the general risk mitigation.

Codes of Conduct *expect* companies to join and articulate industry best practices, partly against their own interests. This is why participation is not entirely voluntary. The company’s main prerogative is the ability to form them through dialogue. The public policy goals are set by Article 34 DSA, and the focus is picked by the European Commission. They effectively gather and codify evidence of what constitutes an industry best practice as they are formulated by the companies themselves. The intuition is that if similar providers agree on something as appropriate, it sets a baseline for good risk mitigation practice. That baseline can be moved but will trigger questions to which

the provider will have to be able to respond. Codes of Conduct are *prima facie* evidence of optimal efforts. This, in turn, makes it cheaper for the European Commission to punish providers on the basis of Articles 34–35 as it does not have to establish the baseline through evidence of its own.²⁴

20.2.3 What can be in the Codes?

The secret sauce of the Codes is that the discussions are not happening in an information vacuum. The auditing reports from previous years, along with accompanying documents, allow other stakeholders to target their discussion, and most importantly, to mutually benchmark providers' practices or resources used. The cross-industry comparison allows the Commission to better articulate its demands, and along with transparency reports, allows civil society to meaningfully join the conversation.

20.2.3.1 General Codes of Conduct

The goal of the exercise is to draw up a document which will set out 'commitments to take specific risk mitigation measures', as well as a 'regular reporting framework on any measures taken and their outcomes' (Article 45(2)). An example in this regard can be the Code of Practice on Disinformation (2022), which includes specific commitments as to how to demonetise disinformation and allow access to relevant data.²⁵ The specific risk management measures should mirror the size and capacity of different signatories (Article 45(3)).

The main content of the general Codes is foreseen by Article 35 DSA which asks companies to 'put in place reasonable, proportionate and effective mitigation measures, tailored to the specific systemic risks identified'. Since the scope of risks is truly broad, the mandate for Codes is also extremely broad. It covers questions, such as: (a) the design of their services, (b) content moderation processes, (c) testing and adapting their algorithmic systems, including their recommender systems, (d) the design of their advertising systems, and (e) the back-end internal processes (eg resources, testing, or training). Thus, the public and non-public faces of digital services can be scrutinised for their handling of various relevant risks (Chapter 15). Very little is off-limits.

In other words, the scope is potentially so broad that it makes more sense to discuss what *cannot* be in the Codes. The DSA itself says little about the limits of such Codes; however, some limits can be inferred. The Codes must be designed in full compliance with law, including competition and data protection law (Article 45(1)). They obviously could not commit companies to task their employees to work in conditions that are against employment law, or demand interventions that would otherwise violate

²⁴ The violation of Codes of Conduct in itself is insufficient to establish DSA violations. The DSA rightly insists on violation of its legal provisions as the key requirement—art 51 ('under this Regulation'), art 52 ('infringements of this Regulation'), art 73(1) ('the relevant provisions of this Regulation'), and art 74 ('provisions of this Regulation').

²⁵ European Commission, 'The 2022 Code of Practice on Disinformation' (n 12).

fundamental rights, such as the freedom of expression. Among the limits, competition and data protection law are likely to be taken the most seriously because they are backed by specific independent agencies that can step into the process. Unfortunately, the situation is more complicated for other fundamental rights, such as freedom of expression, where the key voice will be likely that of NGOs.

20.2.3.2 Advertising Codes of Conduct

Advertising Codes of Conduct (Article 46) open the DSA system to a much broader set of players, such as those who broker the sale of *advertisements*. Those players, such as advertising networks, do not usually constitute hosting services, much less online platforms,²⁶ but they are key elements in ensuring that the information on every single advertisement flows from the advertiser to the publisher to the consumer and getting all the relevant details into the advertisement repositories created under Article 39 DSA.

There is no prerequisite for advertising Codes of Conduct to be created only by the VLOPs/VLOSEs in the market. The European Commission is only tasked to ‘encourage the development’ of such rules before February 2025. The advertising Codes of Conduct should go beyond the DSA’s subject matter by covering ‘online platforms and other relevant service providers, such as providers of online advertising intermediary services, other actors involved in the programmatic advertising value chain, or organisations representing recipients of the service and civil society organisations or relevant authorities’ (Article 46(1)). The idea is clearly to potentially involve the entire advertising supply chain, and for them to be among the signatories, alongside online platforms. The latter is clear from the fact that the provision speaks of ‘transparency for actors in the online advertising value chain beyond’ what the DSA already requires from online platforms or VLOPs.

The Commission must make sure that the advertising Codes of Conduct ‘pursue an effective transmission of information that fully respects the rights and interests of all parties involved, as well as a competitive, transparent and fair environment in online advertising’ (Article 46(2)). The expected minimum content of such Codes of Conduct should relate to how the data about advertising is labelled, disclosed, and presented by online platforms to users, how the advertising repositories work, and sharing information concerning data monetisation. If the advertising Code of Conduct is accepted by a VLOP or VLOSE, they become part of its risk management systems. Compliance officers must take them into account, and auditors must check compliance with them.

20.2.3.3 Accessibility Codes of Conduct

The only type of Code of Conduct with no legal connection to risk mitigation is the Accessibility Code of Conduct according to Article 47. This provision was not in the Commission’s initial proposal or the mandates of any of the co-legislators. Instead, the European Parliament wanted to have hard-law obligations for platforms to be

²⁶ However, the advertising exchanges are more of an open case as they effectively function as public B2B marketplaces for advertising.

accessible to people with disabilities. However, this raised several questions, starting with the clear overlap with the Accessibility Directive,²⁷ at least for what that directive categorises as ‘e-commerce services’.

The mandate of the accessibility Codes of Conduct concerns improving ‘access to online services that, through their initial design or subsequent adaptation, address the particular needs of persons with disabilities’ (Article 47(1)). They should be concerned with at least the following objectives (Article 47(2)):

- (a) designing and adapting services to make them accessible to persons with disabilities by making them perceivable, operable, understandable, and robust;
- (b) explaining how the services meet the applicable accessibility requirements and making this information available to the public in an accessible manner for persons with disabilities;
- (c) making information, forms, and measures provided pursuant to this Regulation available in such a manner that they are easy to find, easy to understand, and accessible to persons with disabilities.

20.2.3.4 Crisis Protocols

The final special type of Code is the so-called Crisis Protocol (Article 48). The idea of crisis protocols was developed in the wake of the Christchurch terrorist attack in New Zealand,²⁸ in which the perpetrator live-streamed the attack on social media to spread his message. Crisis protocols, such as Christchurch Call Crisis Response Protocol, are thus intended to facilitate rapid response in ‘crises’. Its usefulness can be illustrated by an example where it was clear it should have been employed: the 2022 terrorist attack on the gay community in Slovakia showed that a failure of local authorities to use the Christchurch Crisis Response Protocol or tools envisaged by the Terrorist Content Regulation meant that it took weeks for VLOPs to takedown the antisemitic and terrorist manifestos of the attacker.²⁹

A crisis protocol under Article 48(1) can be initiated by the European Commission upon recommendation of the Board. The Protocols should remain voluntary and their use ‘be strictly limited to extraordinary circumstances affecting public security or public health’ (Article 48(1)). This excludes, for instance, their use for commercially sensitive situations that merit a faster response, such as enforcement against illegal streaming of live sports events. One of the prominent examples of principles for such protocols is civil society’s Declaration of Principles for Content and

²⁷ European Parliament and Council Directive (EU) 2019/882 on the accessibility requirements for products and services [2019] OJ L 151/70.

²⁸ ‘Christchurch Mosque Shootings’ (*Wikipedia*, 16 September 2023) <https://en.wikipedia.org/w/index.php?title=Christchurch_mosque_shootings&oldid=1175688216> accessed 18 September 2023.

²⁹ Katarína Drevená, Jakub Rybníkar, and Jakub Rybár, ‘Teroristický Útok Na Zámockej Ulici v Bratislave: Bezprostredné a Preventívne Aktivity Rady Pre Mediálne Služby Na Zamedzenie Šírenia Nelegálneho a Škodlivého Obsahu’ (Slovak Council for Media Services 2022) <https://rpms.sk/sites/default/files/2022-12/Teroristicky_utok_na_Zamockej_ul_Bezprostredna_a_preventivne_aktivity_RpMS_na_zamedzenie_sirenia_nelegálneho_a_skodlivého_obsahu.pdf> accessed 18 September 2023.

Platform Governance in Times of Crisis,³⁰ which partly relates to the Commission's Recommendation on the non-binding guidelines for the identification of conflict-affected and high-risk areas.³¹

The Protocols should be drafted by the providers. The European Commission's drafting role is unclear. The Commission can invite other authorities and civil society groups to participate. The Protocols aim to highlight how regular DSA obligations must be adopted for extraordinary circumstances, such as through staffing and special communication channels. The text of the Protocol should determine the questions of when to activate them, for how long, and what this means in real terms. It should also include provisions on transparency and safeguards once activated (Article 48(4)). The safeguards should address any negative effects on exercising the fundamental rights enshrined in the EU Charter, particularly negative effects on the freedom of expression and information and the right to non-discrimination.

The use of Crisis Protocols, including their negative effects, can be assessed within the risk management framework of VLOPs and VLOSEs. Similarly, as with general Codes of Conduct, compliance with them is embedded in the oversight framework.

20.2.4 Judicial Review of the Codes

Standards and Codes of Conduct should not be seen as an escape path from fundamental rights obligations. As emphasised by the Court in *Elliott*, standards which have legal effects based on EU law remain part of the legal system and are thus subject to fundamental rights.³² The same should be true for co-regulatory Codes of Conduct that rely on the EU's institutional scaffolding and sometimes borrow from its enforcement frameworks.³³

According to the settled case law of the Court, even non-binding rules can be subject to proceedings for a preliminary ruling under Article 267 of the Treaty on the Functioning of the European Union (TFEU).³⁴ The Court retains 'jurisdiction to give preliminary rulings on the interpretation of EU law and the validity of acts adopted by the EU institutions without exception.'³⁵ The Court is thus able to provide interpretation and even examine the validity of such measures, regardless of the fact that they do not have binding effect.³⁶ In *FBF*, for instance, the Grand Chamber reviewed the

³⁰ Access Now, 'Declaration of Principles for Content and Platform Governance in Times of Crisis' (2022) <<https://www.accessnow.org/cms/assets/uploads/2022/11/Declaration-of-principles-for-content-and-platform-governance-in-times-of-crisis.pdf>> accessed 18 September 2023.

³¹ Commission Recommendation (EU) 2018/1149 on non-binding guidelines for the identification of conflict-affected and high-risk areas and other supply chain risks under Regulation (EU) 2017/821 [2016] OJ L208/94.

³² Case C-613/14 *James Elliott Construction v Irish Asphalt* ECLI:EU:C:2016:821; Case C-171/11 *Fra.bo SpA v DVGW* ECLI:EU:C:2012:453; Case C-630/16 *Anstar Oy* ECLI:EU:C:2017:971.

³³ Christina Angelopoulos and others, 'Study of Fundamental Rights Limitations for Online Enforcement through Self-Regulation' (Institute for Information Law (IViR) 2015) <<https://hdl.handle.net/11245.1/7317bf21-e50c-4fea-b882-3d819e0da93a>> accessed 10 August 2023.

³⁴ Case C-188/91 *Deutsche Shell* EU:C:1993:24, para 18.

³⁵ Case C-911/19 *Fédération bancaire française (FBF)* ECLI:EU:C:2021:599, para 53.

³⁶ *ibid* paras 54, 56.

validity of non-binding guidelines on retail banking products adopted by the European Banking Authority.³⁷

One complication for the DSA Codes of Conduct is how they are ‘adopted.’ Article 45(1) says that ‘[t]he Commission and the Board shall encourage and facilitate the drawing up of voluntary codes of conduct at Union level to contribute to the proper application of this Regulation.’ Article 63(1)(e) then speaks of the Board’s role to ‘support and promote the development and implementation of ... code of conducts.’ Thus, it would seem that the industry is in charge of agreeing upon the contents and finalising the rules. However, Recital 107 invites the Commission to ‘include evaluation mechanisms in drawing up the codes of conduct,’ and potentially invite the EU Fundamental Rights Agency or the European Data Protection Supervisor to comment on the codes. Article 45(3) then reiterates that the Commission ‘shall aim to ensure that the codes of conduct clearly set out their specific objectives, contain key performance indicators.’ It is not clear how the Commission or Board can assure any contents without having some final say. It is even less clear how the Commission, in its enforcement capacity, would know what is the final text of such documents if there is no formal act that seals the text of particular versions. It seems implicit that the text is adopted by stakeholders and only offered to the Commission.

The Commission initiates, evaluates, and monitors compliance and may issue fines. However, fines are not based on Codes of Conduct but on Articles 34–35 that underlie them, and for which they provide evidence of best practices. Thus, while the Commission does not draw up the documents, it ‘adopts’ them at the latest when it starts using them against companies because this act lends them certain legal consequences (eg Articles 41(3)(f), 45(4), and 75(2)). The situation is similar to harmonised standards because the standard-setting process is not controlled by the authorities. In *Elliott*, a case dealing with harmonised standards, the Court reminded that on the basis of Article 267 TFEU, it has the ‘jurisdiction to interpret acts which, while indeed adopted by bodies which cannot be described as “institutions, bodies, offices or agencies of the Union”, are by their nature measures implementing or applying an act of EU law’.³⁸ Having said that, the legal effects of Codes of Conduct are somewhat weaker as they serve as prima facie evidence of industry consensus that ‘only’ feeds into the risk management system.

Thus, in my view, Codes of Conduct based on Article 45 can potentially be subject to interpretation and invalidation by the Court in the preliminary reference procedure (Article 267 TFEU). This also implies that such documents are part of the EU law, and subject to fundamental rights scrutiny as any other acts of the EU institutions. Therefore, the Court can invalidate not only them on the grounds of going beyond the envisaged remit of statutory text but also for violating fundamental rights.

³⁷ *ibid.*

³⁸ *Elliott* (n 32) para 334.

The same is potentially true for other DSA-related guidance or recommendations issued by the Board.³⁹ In *FBF*, the Court issued a strong reminder to regulators who might overstep their mandate when it held the following:

to accept that the [European Banking Authority] may freely issue guidelines, irrespective of the specific framework established by the EU legislature, would be liable to undermine the allocation of powers between the institutions, bodies, offices and agencies of the European Union ... It follows from the foregoing that the EBA has competence to issue guidelines only to the extent expressly provided for by the EU legislature and that it is for the Court of Justice, in order to answer the third question, to ascertain whether the contested guidelines fall within the EBA's powers, as established by that legislature.⁴⁰

In contrast, the possibility of a *direct annulment challenge* to such Codes of Conduct based on Article 263 TFEU is more problematic. The key requirement under the case law is that all measures whose invalidation is sought must have 'binding legal effects'.⁴¹ According to case law, 'only measures producing binding legal affects of such a kind as to affect the applicant's interests by clearly altering his legal position constitute acts or decisions open to challenge by an application for annulment'.⁴² The Court has repeatedly held that 'any provisions adopted by the institutions, *whatever their form*, which are intended to have binding legal effects are regarded as "challengeable acts" for the purposes of Article 263 TFEU'.⁴³ It previously recognised legal effect even for supposedly non-binding acts, such as opinions, recommendations, or even informal measures, such as emails, oral statements, or letters.⁴⁴ However, the Court requires existence of a legitimate legal basis for the adoption of the act.⁴⁵ The DSA, as noted above, only indirectly confers such powers by tasking the Commission and Board to assist with creation of these Codes, and even more indirectly relies on them in then follow-up enforcement as evidence.

At the same time, Codes are also an avenue through which the EU bodies can exert regulatory power.⁴⁶ Depending on their content, they can arguably lay down specific expectations, thus fleshing out pre-existing obligations under Articles 34–35 DSA.⁴⁷ The argument against the direct challengeability would be to point to cases like *Netherlands v Council*⁴⁸ or *FBF*.⁴⁹ In the latter case, the Grand Chamber considered that product guidelines that only try to persuade and are drafted in non-mandatory

³⁹ For guidance, C-16/16 P *Belgium v Commission* EU:C:2018:79, para 30.

⁴⁰ *FBF* (n 35) paras 72 and 75.

⁴¹ *ibid* para 36.

⁴² Case 151/88 *Italian Republic v Commission of the European Communities* ECLI:EU:C:1989:201.

⁴³ *Belgium v Commission* (n 39).

⁴⁴ Viktor Luszcz, *European Court Procedure: A Practical Guide* (Hart Publishing 2020) 112.

⁴⁵ Case T-113/89 *Nefarma* ECLI:EU:T:1990:82, para 69.

⁴⁶ Case T-36/14 *St'art and Others v Commission* ECLI:EU:T:2015:13, para 29.

⁴⁷ Case T-258/06 *Germany v Commission* ECLI:EU:T:2010:214, para 31.

⁴⁸ Case C-58/94 *Kingdom of the Netherlands v Council of the European Union* ECLI:EU:C:1996:171, paras 25–26.

⁴⁹ *FBF* (n 35).

language were considered to not have binding legal effects, even though they clearly influence market behaviour.

Codes of Conduct, however, have a stronger legal framework behind the adopted commitments. The acceptance of obligations and their subsequent violation provides *prima facie* evidence of a violation of Articles 34–35, with all its corresponding consequences. There is not automatism, to be sure, however, the companies will have to justify themselves against such pre-established baselines. In the coming years, it will be crucial to observe how the Commission institutionalises the tasks, what language it adopts, and how it weaves the Codes into its enforcement system. If the Commission and Board assume a strong steering role, the argument against them being challengeable acts for the purposes of Article 263 TFEU becomes weaker. The executive power should not have it both ways. With legal effects and procedural convenience should also come judicial review.

The challenge of Article 263 TFEU is, however, more likely to succeed when it is pursued by VLOPs and VLOSEs. As noted above, other participants are not even indirectly legally bound by such commitments. While non-VLOPs might be subject to spillover effects of such Codes, that is probably too remote to substantiate the necessary legal effects. In any case, all these other participants that cannot rely directly on Article 263 TFEU can seek an invalidation through a preliminary reference arising out of a dispute. For instance, in a dispute about data access under Article 40 before national courts, researchers could argue that the Code of Conduct that limits their access is invalid or wrongly interpreted. In such a case, the court of the Member States could rely on Article 267 TFEU and lodge questions to Luxembourg.

20.3 A Theory of the DSA's Regulatory Design

The DSA's risk management system, along with Codes of Conduct, is probably best described as a form of 'responsive regulation'⁵⁰ that delegates various parts of the regulation to regulated companies and their unregulated competitors (where providers investigate and mitigate risks), and public interest groups (where researchers and NGO investigate risks). As explained by Ayres and Braithwaite, this approach allows states to retain many of the benefits of *laissez-faire* governance without abdicating the responsibility of solving market failures. In their classification, the DSA model is a form of 'enforced self-regulation'.⁵¹ Across the book, I tend to use the term co-regulation instead because it better captures the idea for the general audience in the European setting.⁵² However, the key point is that it is a type of regulation that is adopted as an alternative

⁵⁰ Ian Ayres and John Braithwaite, *Responsive Regulation: Transcending the Deregulation Debate* (OUP 1992) 4.

⁵¹ Nicolo Zingales, 'The DSA as a Paradigm Shift for Online Intermediaries' Due Diligence: Hail to Meta-Regulation' [2022] *Verfassungsblog* <<https://verfassungsblog.de/dsa-meta-regulation/>> accessed 18 September 2023.

⁵² Senden (n 8); Cary Coglianese and Evan Mendelson, 'Meta-Regulation and Self-Regulation' in Robert Baldwin, Martin Cave, and Martin Lodge (eds), *The Oxford Handbook of Regulation* (OUP 2010) <<https://doi.org/10.1093/oxfordhb/9780199560219.003.0008>> accessed 18 September 2023.

to typical command-and-control regulation where the regulator enforces prescriptive rules.

As argued by Ayres and Braithwaite, the crucial question of regulation is when to *punish* and when to *persuade*.⁵³ They argue against consistent reliance on either punishment or persuasion. Drawing on Scholz's game-theoretical work,⁵⁴ they argue for regulators to adopt a mixed tit-for-tat strategy when overseeing regulated firms.⁵⁵ Building on Axelrod's path-breaking work on cooperation, the idea is that the tit-for-tat strategy creates long-term reciprocity, and thus cooperation. The mechanism is simple. Companies that repeatedly interact eventually realise that cooperation with a tit-for-tat-minded regulator may cost companies in the short-term but will make them better off in the long run. As eloquently explained by Ayres and Braithwaite:

Scholz models regulation as a prisoner's dilemma game wherein the motivation of the firm is to minimize regulatory costs and the motivation of the regulator is to maximize compliance outcomes. He shows that a [tit-for-tat (TFT)] enforcement strategy will most likely establish mutually beneficial cooperation, under assumptions he believes will be met in many regulatory contexts. TFT means that the regulator refrains from a deterrent response as long as the firm is cooperating; but when the firm yields to the temptation to exploit the cooperative posture of the regulator and cheats on compliance, then the regulator shifts from a cooperative to a deterrent response. Confronted with the matrix of payoffs typical in the enforcement dilemma, the optimal strategy is for both the firm and the regulator to cooperate until the other defects from cooperation.⁵⁶

Scholz's insights and further elaboration by Ayres and Braithwaite are useful for conceptualising the DSA enforcement and the role of Codes of Conduct. VLOP/VLOSEs and the European Commission are involved in long-term repeated interactions. The annual review cycle epitomises this most clearly. The VLOP/VLOSE's experimentation to meet public policy goals, the industry-wide Codes of Conduct, and their annual monitoring by reports and audits give the European Commission ample opportunity to infer the willingness of companies to cooperate. The Commission can benchmark the enthusiasm and visible steps of VLOPs/VLOSEs. This clear *detectability* of whether persuasion is working supports the emergence of cooperation.

The above dynamic offers many lessons for the interaction between VLOP/VLOSEs and the European Commission in the context of the DSA. If the Commission can credibly retaliate to punish a refusal to cooperate (ie compliance), the companies are likely to respond by cooperation. In my view, this is where the Codes of Conduct play a key role. They constitute a cheaper way for the European Commission to establish

⁵³ Ayres and Braithwaite (n 50) 21.

⁵⁴ John T Scholz, 'Cooperative Regulatory Enforcement and the Politics of Administrative Effectiveness' (1991) 85 *American Political Science Review* 115.

⁵⁵ Ayres and Braithwaite (n 50) 5.

⁵⁶ *ibid* 21.

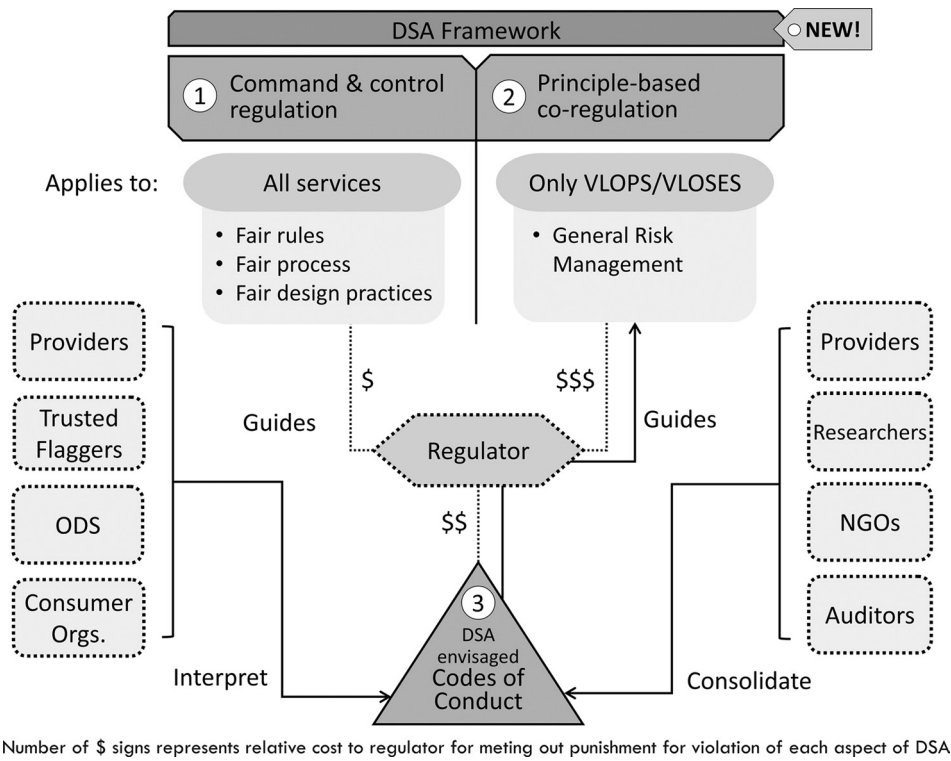


Figure 20.1 The DSA's regulatory architecture

violations of Articles 34–35. Along with prescriptive obligations of due process in content moderation, they are the most likely to be taken up by regulators to mete out punishment. Furthermore, to be an effective tit-for-tat-minded regulator, the European Commission needs fast and cheap reasons under which it can punish non-cooperating companies. The resulting picture is set out in Figure 20.1.

Thus, the existence of Codes has potentially an important practical effect on mutual interactions. It forces companies to not only develop compliance internally but also to articulate industry consensus and be subject to simple detection of its violations. However, it is key that the Commission instead of being slow to anger, always responds quickly to a provocation.⁵⁷ Ayres and Braithwaite offer numerous useful strategies for regulators on how to escalate sanctions (eg to start with formal letters and escalate further).⁵⁸

To conclude, looking at the incentives, it seems that the Member States, stakeholders, and the Commission have all the motivation to push for Codes of Conduct. For the Member States, because the DSA imposes limits on national rule-making, it is likely to channel any *national* frustrations into the European level, especially through Codes of

⁵⁷ Robert M Axelrod, *The Evolution of Cooperation* (Basic Books 1984) 11ff.

⁵⁸ Ayres and Braithwaite (n 50) 35ff.

Conduct (Chapter 17). For the Commission, they offer benefits because it will not have to produce as much factual evidence to fine companies when enforcing Articles 34–35. And finally, for stakeholders, it is the only way their voice can be heard and accepted in the context of risk management due to the limits of private enforcement (Chapter 19).

The DSA's regulatory approach has advantages compared to command-and-control regulation. It is much less '*sticky*' and allows *faster deployment* and *adoption* of the rules. Thus, the regulator must be less worried about path dependence. But co-regulation also poses numerous new challenges as to regulatory capture, legitimacy, and accountability.⁵⁹

Ayres and Braithwaite offer one design feature as an antidote to regulatory capture.⁶⁰ Tripartism is a process in which relevant public interest groups become the fully-fledged third player in the interactions between the regulator and regulated companies.⁶¹ Their role is to prevent regulators from being captured and corrupted by the firms. In the DSA's context, this role is played by civil society, which can participate in the Codes and Conduct, along with researchers who feed into the risk investigation and compliance. The potential weakness of this model is that, as noted in Chapter 19 and this chapter, the NGOs have limited ability to challenge the decisions of the regulator regarding VLOP/VLOSEs. Thus, their ability to step into the interactions remains limited. Going forward, this ability should be strengthened.

20.4 DSA's Global Spillover Effects

Anu Bradford, inspired by David Vogel's work on the California Effect,⁶² famously coined the term 'Brussels Effect' for situations where the EU's rules have spillover effects in other markets.⁶³ She argued that the Brussels Effect will materialise only if the regulator regulates 'inelastic targets' that are not able to flee to less regulated jurisdictions, and when companies' benefits of adhering to a single standard exceed the opportunity costs of laxer standards in other markets.⁶⁴ Her notion of the Brussel Effect focuses more on spillovers than regulatory imitation.

Following the DSA's adoption, many wondered whether other countries are likely to follow suit as with the GDPR, or whether companies are likely to export the implementation of the DSA beyond the EU borders. At the time of writing, some countries, such as Brazil,⁶⁵ are already considering copying parts of the DSA. In my view, there is a reason to be hesitant about whether this is a good idea. The DSA is an untested

⁵⁹ Marian Garcia Martinez, Paul Verbruggen, and Andrew Fearn, 'Risk-Based Approaches to Food Safety Regulation: What Role for Co-Regulation?' (2013) 16(9) *Journal of Risk Research* 1101; Griffin and Vander Maelen (n 18) 8ff.

⁶⁰ Ayres and Braithwaite (n 50) 54ff.

⁶¹ *ibid* 56.

⁶² David Vogel, *Trading Up: Consumer and Environmental Regulation in a Global Economy* (HUP 1997).

⁶³ Anu Bradford, 'The Brussels Effect' (2012) 107 *Northwestern University Law Review* 1.

⁶⁴ Anu Bradford, *The Brussels Effect: How the European Union Rules the World* (OUP 2020) 25ff.

⁶⁵ Beatriz Kira, 'In Brazil, Platform Regulation Takes Center Stage' (*Tech Policy Press*, 24 April 2023) <<https://techpolicy.press/in-brazil-platform-regulation-takes-center-stage/>> accessed 18 September 2023.

regulatory approach, and some of its parts, such as the risk management under Article 34, might require high trust in the regulators. Having said that, it is understandable that other countries would start asking VLOPs why something is possible in Europe and not in their own jurisdiction.

The more compelling question, at this point, is Bradford's original question about whether the companies are likely to export the implementation of the DSA to other markets, most notably the US.

Arguably, such *spillover effects* depend on the type of DSA rules in question. As for content moderation rules that create due process rights (Chapters 10–12), they are the most obvious candidate to go global. Once a company builds one elaborate system for handling things in Europe, why would it design something else for the rest of the world? Thus, if the DSA can produce some Brussels Effect, it will likely occur for due process rights. However, I don't expect this to be the case for all the DSA content moderation features. Out-of-court dispute settlement requires local certification, and costs providers money. They can easily ignore it outside of the European markets. Thus, in the absence of push, there is no obvious answer to why they would voluntarily extend it to other countries.

The same is likely to be true for a risk management system that asks companies to submit to auditing and produce elaborate reports. The complicating aspect here, however, is that many other countries are developing similar schemes, and it might be hard to split consequences per jurisdiction. Australia is steadily adopting Codes of Conduct, such as for social media, app stores, and search engines, that are certified by its eSafety Commissioner,⁶⁶ and the UK's Ofcom is gearing up to preparing a number of Codes of Practice to implement its imminent Online Safety Bill.⁶⁷ Thus, while the US is a crucial holdout on any risk-based regulation for digital services, the spillover effects from the EU, Australia, and the UK might become inevitable at some point.

In addition to direct regulatory spillovers, the DSA is expected to have a standardising effect on the industry. It can do for content moderation on digital services what shipping containers have done for the transport of goods. By creating vocabulary and basic building blocks, one can expect the industry to start developing off-the-shelf tools that serve various content moderation needs by different providers. This de facto standardisation is caused by the pull of the EU as a major market deciding to unify its regulatory approach. Next to de facto standardisation, the DSA also tries to harness formal voluntary standardisation to support its goals in three areas: content moderation, fair design practices, risk management practices, and transparency rules (Article 44(1)).

Examples of how standardisation can facilitate the DSA's implementation are as follows. Technical standards concerning content moderation notifications facilitate the exchange of notices and thereby increase the speed and quality of

⁶⁶ eSafety Commissioner, 'Industry Codes and Standards' <<https://www.esafety.gov.au/industry/codes>> accessed 18 September 2023.

⁶⁷ Ofcom, 'Online Safety Bill: Ofcom's Roadmap to Regulation' (2022) <https://www.ofcom.org.uk/__data/assets/pdfs/pdf_file/0016/240442/online-safety-roadmap.pdf> accessed 18 September 2023.

notifications.⁶⁸ The access to application programming interfaces for trusted flaggers can, along with priority assessment, be a true incentive for stakeholders to organise themselves as entities with a great track record of precise enforcement. The standardisation of templates around statements of reasons and other due process communications can improve the clarity and speed of the process across the platforms and the transmission to the database mandated under Article 24(5). The standardisation of advertising labels can improve the user experience and avoid consumer confusion in a fast, vast and rich information environment.

Another use case of standards is to facilitate trust in content. Professionals of various kinds have been joining forces to come up with standards that govern their activities to signal coherence and quality in order to gain external trust. For instance, the European Code of Standards for Independent Fact-Checking Organisations⁶⁹ has been developed by a community of fact-checkers, supported financially by the European Commission, to codify the best practices in the area. Similar standards or codes of conduct can be developed across the ecosystem. I have argued that they are the missing piece in the regulatory mosaic today, where we often lack signals for what constitutes trusted content. One of the ideas of how to bridge this gap is to incentivise self-organised communities to develop and monitor compliance with their practices and for the members of these communities, Trusted Content Creators, to benefit from better treatment from providers.⁷⁰

20.5 Conclusion

The Codes of Conduct will likely push the DSA into a co-regulation frenzy. This chapter has explained why the Member States, stakeholders, and the Commission have all the motivation to push for Codes of Conduct. For the Member States, the Codes of Conduct are a way how to formulate expectations without resorting to formal rule-making pre-empted by the DSA. For the Commission, Codes of Conduct can produce factual evidence of optimal enforcement that helps to fine companies when enforcing Articles 34–35. Together with prescriptive rules about design practices and content moderation, Codes of Conduct offer a simple way to practice tit-for-tat enforcement strategy to motivate companies to cooperate. And finally, for stakeholders, it is the only way their voices can be heard and accepted in the context of risk management due to the limits of private enforcement.

⁶⁸ Martin Husovec, 'The Promises of Algorithmic Copyright Enforcement' (2018) 42(1) *Columbia Journal of Law & the Arts* 53; Catalina Goanta, Thales Bertaglia, and Adriana Iamnitchi, 'The Case for a Legal Compliance API for the Enforcement of the EU's Digital Services Act on Social Media Platforms' <<https://arxiv.org/abs/2205.06666>> accessed 18 September 2023.

⁶⁹ IJAS, 'European Code of Standards for Independent Fact-Checking Organizations' (*SafeJournalists*, 19 September 2022) <<https://safejournalists.net/european-code-of-standards-for-independent-fact-checking-organizations/>> accessed 18 September 2023.

⁷⁰ Martin Husovec, 'Trusted Content Creators' [2022] LSE Law School Policy Briefing Paper No 52 <<https://ssrn.com/abstract=4290917>> accessed 30 August 2023.

21

Principles

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21.1 Introduction

In 1923, the Czechoslovak parliament adopted ‘the Act on Protection of the Republic.’¹ Only four years old, the new republic was looking for ways to defend itself against the rising tide of extremism undermining the liberal-democratic fundamentals of the newly created state. The Act was adopted weeks after the brutal assassination of the Czechoslovak Minister of Finance, Alois Rašín.² In many ways, it was similar to the German law of the same name adopted in 1922 following the assassination of Walter Rathenau, the Minister of Foreign Affairs of the Weimar Republic.³ Both these laws created new offences that targeted activities that subverted the state, prohibited certain types of disinformation⁴ and equipped the state with powers to seize and temporarily prohibit the distribution of newspapers or publications.⁵ Unfortunately, the liberal democracies of the Weimar and Czechoslovak republics were not saved by these legal instruments against extremism.

A hundred years later, the gradual erosion of democratic institutions in Europe is again apparent.⁶ The number of people questioning the key tenets of liberal democracy

¹ Law dated 19 March 1923 for the Protection of the Republic (Zákon na ochranu republiky) (Act no 50/1923 Collection of laws) <<https://www.aspi.sk/products/lawText/1/3259/1/2/zakon-c-50-1923-sb-na-ochranu-republ-iky/zakon-c-50-1923-sb-na-ochranu-republiky>> accessed 22 September 2023 (1923 Czechoslovak Act).

² ‘Alois Rašín’ (Wikipedia, 9 September 2023) <https://en.wikipedia.org/w/index.php?title=Alois_Ra%C5%A1%C3%ADn&oldid=1174537664> accessed 22 September 2023.

³ Act to Protect the Republic (Gesetz zum Schutze der Republik) v 21 July 1922 <http://www.documentarchiv.de/wr/repchutz_ges01.html> accessed 22 September 2023 (1922 German Act). See Bundesarchiv, ‘Gesetz Zum Schutz der Republik’ (100 Jahre Weimarer Republik) <https://weimar.bundesarchiv.de/WEIMAR/DE/Content/Dokumente-zur-Zeitgeschichte/1922-07-21_republikenschutzgesetz.html> accessed 22 September 2023.

⁴ See § 18 of the 1923 Czechoslovak Act.

⁵ See §§ 20–22 of the 1922 German Act for the provisions regarding the press; and similar provisions in §§ 23–34 of the 1923 Czechoslovak Act.

⁶ ‘The Hard Right is Getting Closer to Power All over Europe’ *The Economist* <<https://www.economist.com/briefing/2023/09/14/the-hard-right-is-getting-closer-to-power-all-over-europe>> accessed 22 September 2023.

is growing. Attempts to establish ‘illiberal democracies’ that only pretend to practice the rule of law and respect civil liberties are increasing at an alarming rate.⁷ Disinformation, hate speech, extremism, and many other ills of society find their breeding ground in digital services. Again, we are trying to find ways to protect ‘the republic’ from both the inside and outside. This time, however, societies are much more globalised, and information travels faster. The state’s ability to suppress the distribution of information is heavily weakened by the emergence of the internet.

The Digital Services Act (DSA) is stylised as a law regulating digital services. But when we look at its ambitious goals, it is clearly a modern attempt to protect ‘the republic’—ie the system of liberal democracy. One of its core goals is to effectively suppress the distribution of illegal expressions, such as hate speech, terrorist content, or modern acts of subversion, such as election interference, computation propaganda, or attacks on democratic institutions. Thus, while the law is about digital services, its goals are also heavily positioned in the realm of public security.⁸

This is not immediately obvious because, unlike its 20th-century forerunners, the DSA is not only about suppression. The DSA is also trying to address the *erosion of social trust*, likely one of the root causes of many of society’s ills. The trust-enhancing tools of the DSA are more subtle, but nevertheless very important.

21.1.1 Promoting trustworthiness

Robert Post, a constitutional law scholar from Yale University, identifies six unique threats that the internet poses to democracy, two of which are key for my purposes: the loss of epistemological authority and the shift from a slow-thinking public to fast-thinking crowds.⁹

Post argues that technology and public opinion are inextricably linked. Technology enables the emergence of ‘public opinion’¹⁰ and thus of certain governance structures by improving the ability of strangers to exchange texts and discuss ideas without being simultaneously present in one space. Post demonstrates this by describing how the invention of the printing press democratised the reading and interpretation of the Bible and thus led to the loss of epistemological authority of the church. Before the printing press, the hand-copying of the Bible allowed the church to monopolise epistemological authority over salvation. But as people gained access to their copies of the holy text, they started questioning the official religious teaching, resulting in reformation and religious wars.

⁷ Fareed Zakaria, ‘The Rise of Illiberal Democracy’ (1997) 76(6) Foreign Affairs 22.

⁸ The word public security is mentioned in Recs 82, 91, 95, 34(1), 36(2), 42(5), and 48(1) DSA.

⁹ Robert Post, ‘The Internet, Democracy and Misinformation’ in Ronald Krotoszynski, Charlotte Garden, and András Koltay (eds), *Disinformation, Misinformation and Democracy* (forthcoming, CUP 2024); Yale Law School, Public Law Research Paper, <<https://ssrn.com/abstract=4545891>> accessed 19 December 2023.

¹⁰ *ibid* 1.

According to Post, the internet similarly weakened the epistemological authority of many actors, such as newspapers and experts, ‘by which modern society underwrites order and stability.’¹¹ He posits that ‘[a]s we lose the ability to identify figures of authority whom the public can trust to distinguish truth from fiction, we correspondingly lose the capacity to establish common facts.’¹² Invoking the work of Hannah Arendt, he argues that in the absence of consensus about facts, we cannot inhibit the common political world.¹³ The implication is that because democracy is a system of ‘government by public opinion’,¹⁴ we will struggle.

His second related argument is that because of the speed at which information travels online, its virality tends to ‘convert the demos of a democracy from a public into a crowd.’¹⁵ I already made this parallel in the introduction (Chapter 1) when I discussed the nature of the crowds and how they resemble many assemblies in the digital ecosystem. The implication is that crowds tend to engage less in slow-paced thinking but rather tend to be driven by emotions. Post draws a parallel to what Daniel Kahneman calls system 1 and system 2 thinking, the former being immediate and emotional, and the latter being slower and more reflective.¹⁶ According to Post, this weakens the ability of the public to think and rather invites instinctive reactions.

I find Post’s observations compelling. The corroding trust in authorities and the fast-paced mentality of crowds are arguably responsible for, or at least magnifying, many of the problems we observe today in the digital ecosystem. The comparison with the early post-printing age suggests that we might be living through an early disorienting period during which people gained new capabilities—cheap and seamless access to any information from around the world—without yet learning how to cope with its dangers. As Barber wrote in 1999, ‘[w]hilst for thousands of generations life for a cohort of grandchildren roughly resembled life for their grandparents, in our century there is enough change in a decade to confuse people in the fifteen years it takes to grow up.’¹⁷

Does the DSA respond to these challenges? I think it does.

Firstly, the DSA is trying to redistribute parts of the power technology companies gained over citizens by giving it to the state and, importantly, individuals. The former manifests in the public-enforcement regime of management of risks. The latter is visible from the set of privately enforceable procedural rights that individuals are owed when providers make decisions about their expressions online. These procedural rights might gain an important role in establishing trust in how providers govern their expressions and interactions.

In this book, I have sketched how the DSA’s procedural requirements, including the demand for greater explainability of decisions, might impact the formulation of rules

¹¹ *ibid* 6.

¹² *ibid* 6.

¹³ Hannah Arendt, *Between Past and Future* (Viking 1968) 238.

¹⁴ Carl Schmitt, *Constitutional Theory* (1928), edited and translated by Jeffrey Seitzer (Duke UP 2008) 275.

¹⁵ Post (n 9) 7.

¹⁶ Daniel Kahneman: *Thinking, Fast and Slow* (Farrar, Straus, and Giroux 2013).

¹⁷ Benjamin Barber, ‘Three Scenarios for the Future of Technology and Strong Democracy’ (2023) 113(4) *Political Science Quarterly* 573, 574.

and their subsequent enforcement (Chapters 11–12). I noted that achieving predictability of content moderation can come at the cost of its precision; however, it might still foster trust in the process. Arguably, every instance of unexplained interference with people's expressions or interactions only feeds conspiracy theories that eventually flow into a large current of anti-system sentiment. In such a situation, ensuring the explainability of content moderation might be an important achievement on its own because it enhances the individual's trust in the process, even if it reduces the precision of the decision-making.

Secondly, the DSA is carving out a serious role for European civil society, ie researchers, non-profit organisations, fact-checkers, trusted flaggers, content creators, out-of-court dispute settlement bodies, consumer groups, and many others. Civil society is poised to gain new tools to improve the trustworthiness of global communications through transparency, data access, and rewards. The position of content creators is given serious legal recognition with the hope that this will encourage the creation and, eventually, consumption of more trustworthy content.

This inclusion of civil society is not only performative. From the scholarship on post-transition societies, we learn that public (civic) participation is an important element of practising democracy¹⁸ and building trust.¹⁹ In totalitarian or authoritarian societies, autonomous social organisations need to be rebuilt brick-by-brick because the past regimes often replaced such organisations with state-administered apparatuses that coordinated the behaviour of social groups to preserve social control.²⁰ Often what citizens of post-transition countries must overcome is learned apathy or hostility toward participation in organisations and public life.²¹

The aftermath of self-regulation obviously cannot be analogised to an authoritarian society. The overall power that companies yield over individuals is simply incomparable with that of the state. Yet, some parallels can be made. Switching from self-regulation to rights-based regulation means giving some power to the formerly powerless. Thus, the law must help people to unlearn apathy. Moreover, already in the 19th century, John Stuart Mill cautioned that freedom of expression and thought was not only determined by formal state restrictions. He warned that there is 'an increasing inclination to stretch unduly the powers of society over the individual, both by the force of opinion and even by that of legislation.'²² Mill was as concerned by the 'the tyranny of the prevailing opinion and feeling' as he was by the 'tyranny of the magistrate.'²³ In our day, it is not the power of the church and its teachings, but contractual restrictions imposed by powerful commercial actors that would fit this description.

¹⁸ Michael Bernhard and Ekrem Karakoç, 'Civil Society and the Legacies of Dictatorship' (2007) 59(4) World Politics 539, 562.

¹⁹ Generally, Gabriel Badescu and Eric Uslaner (eds) *Social Capital and the Transition to Democracy* (Routledge 2003).

²⁰ Bernhard and Karakoç (n 18) 545.

²¹ Bernhard and Karakoç (n 18) 546.

²² John Stuart Mill, *On Liberty* (Penguin Books, 1998 (1859)) 23.

²³ Mill (n 22) 10.

To be clear, the DSA mostly leaves this power to formulate rules for others intact. However, it imposes procedural limits on decision-making and fairness rules on the overall design of services (Chapters 12 and 14). By doing this, the DSA imposes costs on the exercise of the platform power. This creates an opportunity. If providers recognise that too much rule-making power comes with costly responsibility, they might be more inclined to devolve that power to individuals or self-organised groups to lower the cost of their operations whenever possible. Thus, greater empowerment of individuals can emerge as a direct consequence of the DSA-imposed regulatory cost on central decision-making by platforms.

If the studies about trust and the empowerment of workers have any external validity for the digital environment,²⁴ again, there is a distinct possibility that more trust emerges from such devolution of decision-making. For this reason, I also argue that the empowerment of individuals must be at the heart of acceptable risk mitigation strategies (Chapter 15).

To formulate the above argument about the DSA's potential more explicitly, I argue the following:

1. If opacity and arbitrariness breed distrust of individuals, transparency and procedural fairness might foster trust.
2. If centralised content moderation by providers breeds distrust of individuals, empowerment and decentralisation might foster trust.

The trouble with the *trust-enhancing*, as opposed to information-suppressing, parts of the DSA is that they rely on social institutions, which require a degree of social trust to even emerge. As explained by Fukuyama, 'durable social institutions cannot be legislated into existence the way the government can create a central bank or an army'.²⁵ Thus, while information-suppressing tools can benefit from administrative enforcement as an arm of a strong state, the DSA can only foresee and incentivise trust-enhancing social institutions but cannot build them; only people can. There lies the key limit of the DSA's trust-enhancing attempt to repair 'the Republic(s)'.²⁶

Despite this limitation, the DSA rightly focuses on trust as one of the overarching goals of the law (Article 1(1)). Every 'trusted' environment is 'safe' and 'predictable', but not every 'safe' and 'predictable' environment is also 'trusted'. High-security prisons try to maximise safety and predictability precisely to compensate for lack of trust between individuals. The European dictatorships of the 20th century in Southern, Central, and Eastern Europe offered safe and predictable social environments to many, largely by shielding them from the real controversies of the day. However, such social environments were certainly not worthy of trust. This is evident from the fact that such regimes tend to leave behind decimated trust among people and in public institutions.²⁶

²⁴ Gretchen A Mosher, 'Trust, Safety, and Employee Decision-Making: A Review of Research and Discussion of Future Directions' (2013) 29(1) *Journal of Technology, Management, and Applied Engineering* 2.

²⁵ Francis Fukuyama, *Trust: The Social Virtues and the Creation of Prosperity* (The Free Press 1996) 5.

²⁶ Natalia Letki, 'Trust in Newly Democratic Regimes' in Eric M Uslaner (ed) *The Oxford Handbook of Social and Political Trust* (OUP 2017) 335, 336; Robert D Putnam, Robert Leonardi, and Raella Y Nanetti, 'Making

For these reasons, I think the focus on trust should guide the DSA's application as the norther star. It should keep the regulators on their toes whenever they try to go too far in their efforts to repair anything from the top-down. The goal of intervening is for people to regain confidence in the system of liberal democracy, to increase their resilience to risks, and to their autonomy. Excesses of state power will only engender disgust and mistrust in people and take us away from these goals. As I explained in Chapter 15, sometimes we need to balance trust and safety because too many top-down restrictions of freedom can corrupt trust.

Finally, the regulators should be reminded that trust emerges slowly and that being *worthy* of trust also means allowing for uncertainty. Allowing people to make their own mistakes is fundamental to learning and human life. The highest form of human knowledge, science, equally relies on 'its ability to self-correct as new evidence is established.'²⁷ It constantly 'operates on the "edge of error".'²⁸ Some level of distrust is healthy for individuals, science, and ultimately society at large. As noted by Václav Havel, the first and last post-Communist Czechoslovak president, '[t]here can be no doubt that distrust of words is less harmful than unwarranted trust in them.'²⁹

This brings me to the key question: can this dual attempt to protect the liberal democracy work?

Only time will tell if the regulatory experiment works. However, to guide us to a brighter future, I propose several principles that should be observed when different actors decide to 'run with it'. The proposed principles constitute the connecting tissue for all the DSA's provisions. I offer the principles for two audiences. First, *statutory design principles* aim at those looking at the DSA from outside Europe as a potential solution to similar problems in their jurisdictions. Second, *interpretative principles* aim at those applying the DSA from inside the European Union (EU) (see Figure 21.1).

21.2 Statutory Design Principles

The DSA's provisions are built on four key principles: increasing accountability of providers and not their liability, horizontality of regulation, transparency, and public participation.³⁰

Democracy Work: Civic Traditions in Modern Italy' (Princeton UP, 1994); Martin Paldam and Gert T Svendsen, 'Missing Social Capital and the Transition in Eastern Europe' (2001) 5 *Journal for Institutional Innovation, Development and Transition* 21–34.

²⁷ The Royal Society, 'The Online Information Environment Understanding how the Internet Shapes People's Engagement with Scientific Information' (2022) 92 <<https://royalsociety.org/-/media/policy/projects/online-information-environment/the-online-information-environment.pdf?la=en-GB&hash=691F34A269075C0001A0E647C503DB8F>> accessed 19 December 2023.

²⁸ *ibid.*

²⁹ Václav Havel, 'Words on Words' (Acceptance speech upon receiving the Peace Prize of the German Booksellers Association at the Frankfurt Book Fair in Germany 1989) <<https://www.vhlf.org/havel-archives/words-on-words/>> accessed 22 September 2023.

³⁰ For a more extensive explanation, Martin Husovec, 'Rising Above Liability: The Digital Services Act as a Blueprint for the Second Generation of Global Internet Rules' [2023] *Berkeley Technology Law Journal* (forthcoming).

Statutory design principles	Interpretative principles
ACCOUNTABLE BUT NOT LIABLE The providers are asked to assist without becoming liable for others.	SEPARATION OF POWERS Content rules are dictated only by parliaments. Risks are supervised by authorities.
HORIZONTALITY OF REGULATION Uniform legal rules should apply across the entire legal system.	SHARED RESPONSIBILITY Everyone is expected to reasonably protect themselves/others from risks.
TRANSPARENCY Improving explainability of the digital ecosystem and individual decisions made.	EMPOWERMENT OF INDIVIDUALS Devolution of responsibility to individuals whenever it is meaningful and reasonable.
PUBLIC PARTICIPATION Solving problems by giving tools and involving civil society, researchers, and the public.	REWARDING TRUSTWORTHINESS Incentivising all actors to improve safety from illegal content and to facilitate trust building.

Figure 21.1 DSA Principles

21.2.1 Accountable but not liable

Providers of digital communication tools cannot be expected to bear the burden of liability borne by ordinary publishers, such as newspapers. The existence of some sensible legal immunities for the actions of others is the basic precondition of the viability of services fuelled by user-generated content (Chapters 3–4).

The ultimate value that liability exemptions protect is decentralised speech. The internet’s genius is in allowing anyone to speak their minds without seeking approval. Obviously, this creates challenges because editors were previously deputised to act as filters for the lawfulness, trustworthiness, and quality of information. Without editors, the ecosystem shifts from filtering the content’s quality upfront to managing its distribution. Imposing incentives that reinstate upfront editorial control automatically takes away the newly gained ability of individuals to speak and read what is not edited. The focus on addressing the digital risks should be on how to align providers’ business operations more with individual freedoms—ie how to make providers more accountable to society.

Unlike in the liability system, where the lack of diligence makes providers an accessory to the entire wrongs of others, the accountability system only blames them for not giving some specific assistance. The legal culpability implied in the two frameworks is very different and corresponds directly with the seriousness of the consequences for the platforms (Chapter 9). It is a qualitative difference between being regulated as a criminal or a sloppy business owner (eg a bank co-conspiring to evade sanction or a bank having a weak anti-money laundering system).

The distinction is key because such blameworthiness and the gravity of legal consequences directly affect the types of freedoms enjoyed by individuals using the services. If the liability for failing to assist is adequate, the health of the decentralised ecosystem is not put at risk; otherwise, the decentralised ecosystem is forced to inch closer to an editorial system of digital services with strong prior approvals.

21.2.2 Horizontality of regulation

The horizontality of regulation means that the same digital rules apply universally in all areas. Avoiding special regimes has many positive effects. The horizontality is useful for companies and individuals because it makes compliance cheaper and easier to implement (Chapters 11 and 15). It also prevents the gaming of the system because it reduces regulatory arbitrage.³¹

Given the never-ending cycle of balancing competing interests, a holistic policy allows regulators to better balance one interest against a number of others at the outset. Thus, for instance, the European Commission looking at risk mitigation by technological solutions must equally consider the under-detection of hate speech and overblocking of legitimate speech. Given that content moderation and risk mitigation really stretch to all areas of human interactions, having the broadest possible focus is key to any balanced policy.

Politically, the horizontal approach also moderates the excessive strength of some interest groups because it broadens the conversation and addresses the imbalance of voices by ensuring that the equally valid concerns of others are heard. If interrelated conversations are scattered into separate legislative debates, there is a risk that important voices can be strategically split into different legislative files. Horizontal rules do not have the same problem because they ensure everyone discusses the same instrument.

Moreover, if the argument for regulation is a general reshuffle of power from technology companies to individuals and the state, doing it only for some areas of our lives but not for others makes little sense. Sectorial rules can still play a role in addition to this general reshuffle.

21.2.3 Transparency

The DSA has a number of provisions that try to shine a light on decision-making by technology companies. This includes content moderation reports, individual explanations, access to data, audit reports, and publicly available databases (Chapters 11,

³¹ *ibid.*

15–16). These elements aim to enhance oversight but also the trust of individuals in what is going on behind the scenes in digital services.

The explainability of processes is thus one of the key ingredients that can foster a predictable and trustworthy online environment. In combination with other regulatory interventions, transparency can help us uncover practices that would otherwise lie hidden from the public debate. In the long run, it can force companies to better align their internal thinking with what they present to the public.

Access to data can help civil society and academia to better understand the interactions that people have online and how to address social phenomena, such as distrust, racism, and hate, that pervade our societies. Only such insights and knowledge can bridge our current situation to one with more targeted and sophisticated policies based on greater understanding.

21.2.4 Public participation

The DSA gives individuals and groups tools to rely on when protecting private or public interests. By doing this, it tries to equip societal structures, such as local organisations analysing threats, consumer groups helping content creators, and communities of researchers.

The alternative to public participation is to create a gigantic administrative machinery whose sole legitimacy rests on the legitimacy of state power. Such machinery can always be manipulated to maximise the wrong goals, as we have seen in the past. This, in turn, could paradoxically undermine the long-term legitimacy of the system because individuals and civil society would remain entirely excluded from supervising the system and correcting the wrongs.

The emphasis on ecosystem solutions, in contrast, assures public participation by other means and thus also decentralises how the information is acquired, processed, and eventually evaluated by the regulators (Chapters 13 and 20).

Even the DSA's allowance for private enforcement can be construed as a form of public participation (Chapters 19–20). Because individuals do not have to wait for authorities to intervene, they can act and potentially collectively organise around various causes they present to the courts. This, in turn, increases the legitimacy of the overall system, which is not dictated solely by regulators.

21.3 Interpretative Principles

The DSA's interpretation of provisions by courts and regulators should be guided by the following four key principles: separation of powers, shared responsibility, empowerment of individuals, and rewarding trustworthiness.

21.3.1 Separation of powers

The regulation of content moderation processes and risk management are perfectly legitimate tools of liberal democracies. However, they must respect the specifics of the medium that they regulate. Content moderation should always afford some leeway to companies to decide on their own content rules. The risk-based approach and its oversight cannot be allowed to be used as a convenient guise for the substantive regulation of content by the executive. And finally, access to data by civil society should not become a tool of surveillance by the state. The reason why the DSA allocates many functions to non-state actors reflects its commitment to the principle of the separation of powers.

The DSA distributes powers between legislatures, companies, the authorities, and civil society. Each of these actors keeps the other power in check. That balance is desirable, even though it might slow down the speed of response.

The interpretation of the DSA should not change the basic separation of powers in liberal democracies: legislatures decide what is illegal to say, and authorities only enforce these norms. That is the principle of legality (Chapters 13 and 15). If the interpretation of the DSA respects the division of powers between legislature and executive, it is less likely to be embroiled in partisan politics and constitutional challenges. If, on the contrary, the European Commission starts assuming the role of a surrogate legislature by imposing content-specific measures concerning lawful content, it is likely to undermine the legitimacy of the entire project.

Courts and regulators should be reminded that public discourse does not stop where the DSA's powers stop. Sometimes, the information that is amassed thanks to the DSA is only the start of the conversation that should take place before the legislatures—one that is reliably informed.

21.3.2 Shared responsibility

The DSA renews democratic support for the model of sharing the burden for societal risks on digital services. Under the principle of shared burden, everyone is expected to play their part—to do what is reasonable to protect oneself and others from risks that result in social costs. Shared responsibility means resisting the temptation to blame one actor for all ills. The DSA makes providers accountable for doing their best to ensure safety from the illegal content and activities of others. But it does not make them solely accountable. Along with providers, the public and state are also asked to play their part.

Shared responsibility can guide the interpretation of the DSA in many parts (Chapters 4 and 15). Content moderation, for instance, is a shared responsibility between individuals, civil society and the authorities on the one hand and technology companies on the other. Together, they have more information on how to act against

illegal content and activities. The NGOs and charities are closer to victims and know their stories and pains. Specialised authorities have an aggregate picture of what happens in our societies. Finally, providers have superior technical capabilities and can think of novel solutions to address the problems. By sharing the burden, each actor contributes their unique knowledge and skills.

The opposite of sharing is the concentration of all responsibility with providers. Such concentration creates a single point of failure, which is rarely the best strategy to protect the safety of the affected individuals. The regulators must be aware of the dangers of such concentration when they formulate their demands for risk mitigation under the risk management tools (Chapters 11 and 15). By deciding which actors they certify as trusted, they help manage the risks; by compiling useful information or periodical monitoring, they take part in the responsibility.

21.3.3 Empowerment of individuals

Individuals can only share as much risk as they are given a chance to counter. The principle of user empowerment speaks in favour of devolution of responsibility to individuals whenever it is meaningful and reasonable. Typically, this means that platforms provide individuals with tools that grant them agency in deciding about their digital experience, such as what they wish to see and from whom. Naturally, the key role for such empowerment lies in situations involving expressions that society had not previously proclaimed as illegal.

Empowerment benefits individuals and the public by recognising individuals' voices as participants in the environment (Chapters 10–11, 13, and 15). It is analogous to giving a larger responsibility to workers to win their trust—a move that ultimately leads to efficiency gains for the companies.³² Meaningful and reasonable empowerment can be a source of learning for individuals (eg children) and lead to new ways of achieving the goals of a trustworthy online environment.

The regulators should not frown upon providers delegating powers to individuals. On the contrary, they should encourage meaningful and reasonable empowerment. Empowerment should be considered a risk mitigation strategy on its own. The more agency platforms give individuals when using their products, the less responsibility they should bear (Chapter 15). If platforms leave little agency to users, they should insist that providers also assume more risks. This does not mean that the regulators should allow providers to completely shrug off any accountability for risks. Rather, it is simply that with reasonable and meaningful expectations on the side of individuals, such empowerment should reduce providers' compliance risks and thus be encouraged.

³² Allan Lee, Sara Willis, and Amy Wei Tian, 'When Empowering Employees Works, and When It Doesn't' [2018] *Harvard Business Review* <<https://hbr.org/2018/03/when-empowering-employees-works-and-when-it-doesnt>> accessed 22 September 2023.

21.3.4 Rewarding trustworthiness

The DSA rewards betterment and punishes efforts of subpar quality. The idea that trustworthiness should be incentivised runs in the veins of many of its provisions.

Consider the content moderation provisions (Chapters 10–12). Trusted flaggers are prioritised if they make a few mistakes when notifying illegal content. If the quality of their work deteriorates, they lose certification. Those who repeatedly violate trust by sending incorrect notifications or submitting illegal content must be excluded from services. Individuals who appeal content moderation decisions and win on merits are compensated by platforms. Such costs inflicted on platforms, in turn, incentivise them to improve their internal appeals processes so they can be better trusted. Out-of-court dispute settlement bodies are certified by regulators and are expected to be followed by platforms, but will lose their certification if they fall short of expected standards of fairness and diligence. The incentives are aligned with prosocial enforcement.

Even under risk management, rewards are present (Chapters 13–16). Platforms are primarily responsible for finding solutions to the problems they encounter. They formulate their house rules and develop the design of the services and strategies for overcoming challenges. Their thinking is documented through self-assessments, which are reviewed by auditors, regulators, researchers, and the public. If they fail to engage in good faith, they will be fined because their actions do not inspire public confidence. Auditors, again, are rewarded for doing their job properly because they can save their clients from embarrassment. Finally, researchers are given special access to data to uncover risks and test solutions; however, this is only if they can agree to conduct themselves in a certain way.

The regulators, consumer groups, and other private actors who enforce rights should be reminded that if incentives envisaged by the DSA are credible, they alone can do a lot of the heavy work to regulate the behaviour of providers in the direction of trustworthiness.

21.4 Conclusion

The internet revolutionised the distribution of information. Such decentralised content production brought many undisputed benefits. It democratised production of information and its distribution, allowing anyone to speak to large audiences and share their expertise or views. It weakened the role of traditional information gatekeepers, such as newspapers or broadcasters.

However, it also brought new challenges. With such abundant information, it is now more important than ever to find a way to navigate them meaningfully. Surveys of

internet users show that they struggle to distinguish facts from fabrication.³³ To make things worse, editorial content and the old institutions that supplied it are also simultaneously losing trust and, in some markets, also ground to content of lesser quality.³⁴ Thus, the mistrust is being fuelled from different sides.

The difficulty of regulating non-editorial content is that it requires different approaches compared to editorial content. Content creators are not confined to traditional professions, institutions, or geographies. Digital services that publish their content are not just some new-era publishers but genuinely new types of communication networks.

The experience of the last two decades has shown again and again that individuals from all walks of life can challenge and supplement formal institutions, such as academia, state authorities, broadcasters, or newspapers, in the search for truth. Therefore, the goal should not be to return to relying only on the old institutions that dominated editorial content to lend 'trust' to information flows. The superior policy goal should be to extract the best of both the old and new institutions: editorial and non-editorial content. The key component that should bridge their differences is the notion of *trust*.

The DSA and similar regulations should harness the power of non-editorial content to promote trustworthy content at the expense of an untrustworthy one. The obvious untrustworthy content is unsafe, illegal content, including age-inappropriate content for children, that has been outlawed by parliaments. Beyond such unsafe illegal content, regulators must avoid imposing the substantive notion of what should be trusted and leave the indicators of trust to society at large.

In short, the DSA's most ambitious goal is to prove that while non-editorial content lacks editors, it does not have to lack trust. If popularity and trust in existing older institutions are declining, one way to approach the situation is to give space to new organisational structures that complement existing institutions. If new trust structures can reduce the level of distrust among the public and serve as a remedy to one of the root causes of society's ills, then perhaps our liberal democracies, our *republics*, might be repaired at last. To paraphrase a popular adage, we ought to keep the company of those regulators who want to help people seek the truth and run from those who have found it.³⁵

³³ Nic Newman, Richard Fletcher, Kiersten Eddy, Craig T Robertson, and Rasmus Klein Nielsen, 'Digital News Report' (2023) Oxford: Reuters Institute for the Study of Journalism, p 17, available at <https://reutersinstitute.politics.ox.ac.uk/sites/default/files/2023-06/Digital_News_Report_2023.pdf> accessed 22 September 2023 ('Across markets, well over half (56%) say they worry about identifying the difference between what is real and fake on the internet when it comes to news').

³⁴ *ibid* 24; for the discussion of the relationship between news publishers and platforms, Rasmus Kleis Nielsen and Sarah Anne Ganter, *The Power of Platforms Shaping Media and Society* (OUP, 2022).

³⁵ Quotersearch, 'Believe Those Who are Seeking the Truth; Doubt Those Who Find It' (*Quote Investigator*, 14 November 2013) <<https://quoteinvestigator.com/2013/11/14/seekers/>> accessed 22 September 2023.

